

BLOCK 4
SPECIAL ISSUES

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BLOCK 4 SPECIAL ISSUES

The block covers various concepts such as social entrepreneurship, rural entrepreneurship, ethical entrepreneurship and family business. This covers various concepts related to social entrepreneurship and discusses difference between social and corporate entrepreneurship. The block also discusses different types of rural entrepreneurship and the role of government in promoting them. Then it focuses on ethics entrepreneurship and the importance of ethics in entrepreneurial growth. Further it discusses various issues in family business and their coping strategies.

Unit 11 explains the concept, theoretical perspectives, and characteristics of social entrepreneurship. It gives an overview of various social problems which exist in India. It also elaborates upon the difference between social and corporate entrepreneurship. Further, it discusses social entrepreneurship in present scenario and several cases in this context.

Unit 12 elaborates upon the concept of rural entrepreneurship in Indian setting. It discusses various types of rural entrepreneurship such as individual, group, cluster formation, co-operatives. It also discusses advantages and disadvantages of rural entrepreneurship. Further, it discusses government actions to promote rural entrepreneurship and then the role of women in rural entrepreneurship.

Unit 13 explains the meaning and several theories of ethical entrepreneurship. It elaborates upon the importance of ethics in entrepreneurial growth and also discusses various ethical dilemmas in business organizations. Further, it explains the importance of ethics in various sectors such as education, trade, agriculture etc. Lastly, it discusses ethics in global scenario.

Unit 14 discusses the concept and various theories explaining family business in India. It also highlights the role of culture in family businesses. It elaborates upon various issues & problems in family businesses and further their coping strategies have been discussed. Lastly, various role models in Indian family businesses have been discussed.

UNIT 11 SOCIAL ENTREPRENEURSHIP

Objectives

After going through this unit, you should be able to:

- understand the concept of Social Entrepreneurship
- analyse the theoretical perspectives of Social Entrepreneurship
- define the characteristics of Social Entrepreneurship
- differentiate between Social Entrepreneurship and Corporate Entrepreneurship
- understand the practical insights on Social Entrepreneurship with the help of cases.

Structure

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- 11.2 Social Entrepreneurship: The Concept
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11.1 INTRODUCTION

“Social entrepreneurs identify resources where people only see problems. They view the villagers as the solution, not the passive beneficiary. They begin with the assumption of competence and unleash resources in the communities they are serving.”

-Bornstein (2007)

The corporate world has made significant progress in institutionalising the idea of social entrepreneurship. Individuals, corporations, and organisations that do not profit from their operations, such as philanthropic foundations, are taking the lead and consciously working to bring about positive change in the world, whether as a direct result of the epidemic or for other social causes. The concept of social companies as a distinct sector is rapidly gaining traction (Kickul & Lyons, 2020; Klarin & Suseno, 2022), as evident that

founders or CEOs who address a social or environmental problem innovatively, with a particular emphasis on populations that are low-income, marginalised, or vulnerable.

When a country's existing economic institutions or market-based solutions are insufficient to ensure the population's well-being, social entrepreneurs can be at the forefront of breaking paradigms to address increasing social problems. Socially conscious individuals have proposed and implemented innovative business models all over the world to address social issues that businesses, governments, and non-governmental organisations had previously ignored. Social entrepreneurship contributes to sustainable development by creating, delivering, and capturing values (Al-Qudah et al., 2022).

In recent times, the term “social entrepreneurship” has been trendy, even though often used loosely. For some, a social entrepreneur is a firm with a conscience, hence social entrepreneurship is associated with excellent internal and external corporate behaviour, represented through corporate social responsibility and corporate philanthropy, respectively. For others, a social entrepreneur is someone devoted to re-engineering society, hence social entrepreneurship is used interchangeably with concepts such as social reform and community empowerment, where leadership is critical (Kickul & Lyons, 2020).

Against this backdrop, the current unit makes a small attempt to define social entrepreneurship by separating it from business entrepreneurship, as well as to define its viewpoint and activities in India.

11.2 SOCIAL ENTREPRENEURSHIP: THE CONCEPT

Churning the literature reveals that attempts have been made to define social entrepreneurship (Bornstein, 2007; Dees, 2004; Haugh, 2005; Klarin & Suseno, 2022; Martin & Osberg, 2007; Peredo & McLean, 2006; Zahra et al., 2009). In conformance with entrepreneurship, social entrepreneurship draws heavily from social sciences. For over four decades, the phrase "Social Entrepreneurship" was created by Ashoka's founder and CEO Bill Drayton, which is still getting traction day by day. Today, Ashoka is the world's biggest network of prominent social entrepreneurs and ranks among the world's top five non-governmental organisations. It was Gloria De Souza, a social entrepreneur from India, who was chosen as the first Ashoka Fellow in 1982 and transformed the way students learn in schools (Singh, 2016; Thorpe, 2019).

• Entrepreneur

When an individual or a group of individuals take on the task of resolving societal problems, it could be a small-scale event or a large-scale drive involving the entire community; it contributes, by and large to the concept of “Entrepreneur”. Moreover, it further signifies the importance of the concept when societal problems are resolved. Therefore, entrepreneurs are characterised as creative, inspired and motivated, resourceful, courageous,

and accompanying fortitude (Klarin & Suseno, 2022; Martin & Osberg, 2007; Peredo & McLean, 2006).

- **Entrepreneurship**

The term "entrepreneurship" must come first in any definition of the phrase "social entrepreneurship." If the concept of entrepreneurship does not have a well-defined definition, then adding the word "social" to it will not achieve the objectives. The term "entrepreneurship" denotes a distinctive, intrinsic capacity of an individual to identify and act on opportunity, blending creative thinking to resolve an existing problem or bring something new to the world.

- **Social Entrepreneurship: A Shift**

We tend to believe that social entrepreneurship is the congruence of the key components of entrepreneurship. The term "social" has been embedded in "entrepreneurship". Though, the critical distinction lies in a value proposition. A prime example of social entrepreneurship is provided by Muhammad Yunus, who established the Grameen Bank, and he is widely regarded as the "father of microcredit". There is widespread consensus that social entrepreneurs and the ventures they pursue are motivated by social aims, which may be seen as the desire to contribute positively to society in some manner or way (Martin & Osberg, 2007; Peredo & McLean, 2006).

- **Definitions of Social Entrepreneurship**

Though various authors have opined the social entrepreneurship in unique ways, Portales (2019) recently mentions in his book the four major elements of social entrepreneurship (refer to figure 11.1).

Four Major Elements of Social Entrepreneurship:

A. Societal Mission

- i) Launching mission-driven businesses.
- ii) The intention of donating a portion or even the whole of their income to the advancement of a charitable cause.
- iii) Provides consumers with a sense that their purchases are contributing to a greater good.

B. Motivation for Societal Change

- i) The opportunity to make a good contribution to society.
- ii) Enhancing the quality of life for individuals within a community.
- iii) The most potential for personal fulfillment.
- iv) Autonomy to investigate and develop novel approaches to addressing social problems, and
- v) To motivate others to do the same.

C. Socio-Economic Value Creation

- i) Integration of resources, inputs, processes, or policies innovatively.

- ii) To produce improvements in the lives of people or the lives of society as a whole.
- iii) Focus more on Social Value rather than Market Value of products & services.
- iv) Wealth creation in a sustainable way
- v) Long-term societal and economic impact.

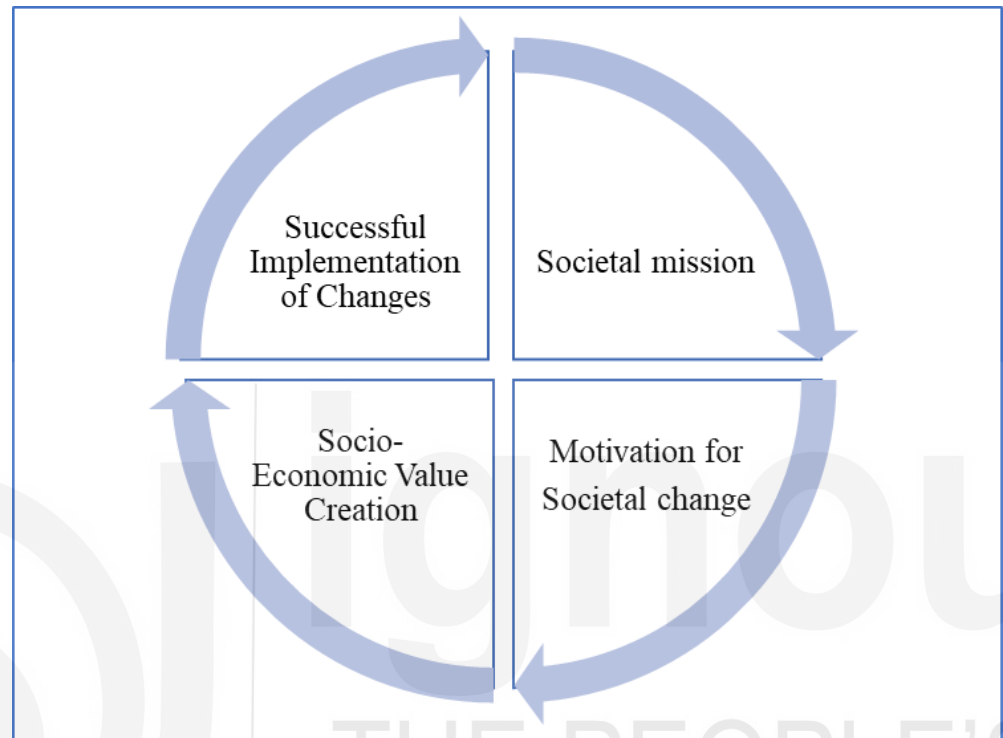


Figure 11.1: Elements of Social Entrepreneurship

Source: Adopted from (Portales, 2019; p. 56)

D. Successful Implementation of Changes

- i) The application of social entrepreneurship requires involvement on both the micro and the macro levels.
- ii) Implementation on an individual level & societal level
- iii) Consider the breadth, depth, and complexity of society for implementation on a more systemic scale.

Apart from the above discussion, Organisation for Economic Co-operation and Development (OECD, 2022), defines social entrepreneurship as a “process through which specific types of actors – the ‘Social Entrepreneurs’ – create and develop organisations that may be either social enterprises or other types of organisations.”

Recently, Klarin & Suseno (2022) defined social entrepreneurship as "activities and processes undertaken to discover, define, and exploit opportunities to enhance social wealth by creating new ventures or innovatively managing existing organizations"

11.3 AN OVERVIEW OF SOCIAL PROBLEMS IN INDIA

For many decades, India has been striving with a wide range of developmental issues and social problems. These issues and problems are about poverty, health care, education, unemployment, water and sanitation, delinquency, environmental issues, and livelihood. This is a result of a higher population growth rate, constantly growing social and environmental needs, and a limited number of resources (Ahuja, 1992; Singh, 2016).

According to UNDP (2022) report on Human Development Index (HDI, 2020), India's position was ranked 131st by the agency. HDI comprises life expectancy, educational attainment, and per capita income, which assigns a human development score to each country. India's rank shows that there is a tremendous amount of scope for improvement. The evidence is sufficient to indicate social disparity and there is a big gap to be filled in.

Economic growth by itself cannot accomplish developmental objectives due to the population's rapid growth rate, which would negate any gains from economic growth. Social entrepreneurship undoubtedly could be a means, out of many, to reduce the gap. As it gives opportunity to all strata of society to positively contribute to the development and minimise the gap. At present, social entrepreneurs have identified social problems and provided workable solutions. Below mentioned figure 11.2 shows that a wide array of fields and commercial areas have been penetrated to bring societal change.

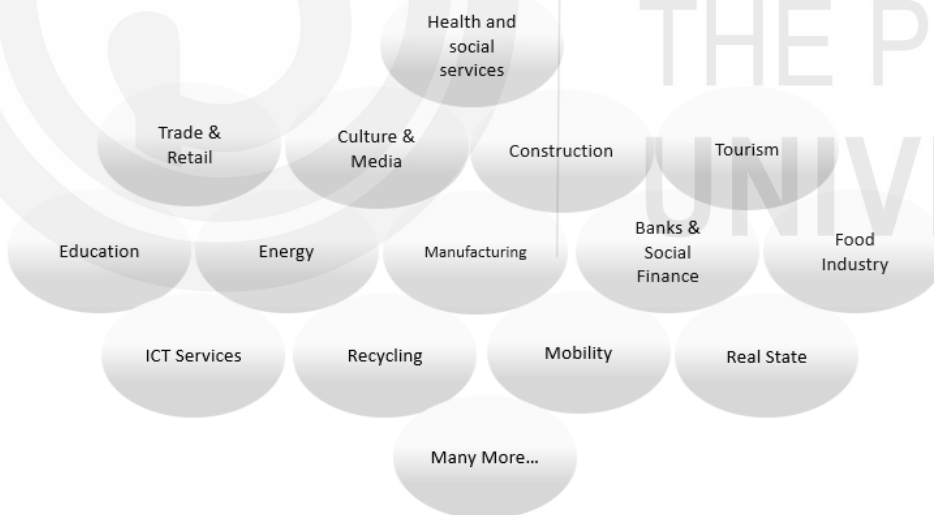


Figure 11.2: Sectoral Presence of Social Enterprises

Source: Author's own output

11.4 THEORETICAL PERSPECTIVES

Research has systematically documented the various theoretical perspectives on social entrepreneurship (Barney, 1991; Dees, 2004; Gunzel & Krueger, 2013; Khanin, 2011; Murphy & Coombes, 2009; Santos, 2012; Zeyen et al., 2013). Merely economic theory is not sufficient to explain why people

engage in entrepreneurial behaviour as psychological, cultural, and social elements also play a major role in entrepreneurial behaviour. It is imperative to give an account of various theoretical lenses used to uncover the body of knowledge on social entrepreneurship.

Zeyen et al. (2013) report the outcomes of a research workshop, whereby, major theoretical perspectives on social entrepreneurship were mulled over (refer to Table 11.1).

Table 11.1: Theoretical Perspectives

Broader Perspective	Author	Theoretical Lens	Contribution
Macro-Perspective	(Dees, 2004)	Adaptive Societies	Societies deal with uncertainty and fast changes e.g., technology to migrating people. This creates new, complex, and challenging problems, which have no cost-effective solution. A decentralized problem-solving approach needs to be adopted.
	(Khanin, 2011)	Tragedies of Disharmonization	Resources Allocation Related Problems: Overconsumption, underinvestment, and strategic behaviours. Situations in which people and/or organisations try to act rationally but end up with bad results that seem irrational or even make no sense.
Management Perspective	(Becker, 1962; Santos, 2012)	Human Capital Theory	Human Capital Theory argues that people engage in education in expectation of a

			variety of advantages, most of the empirical research has concentrated on the financial benefits of greater earnings. The notion of human capital is focused on the knowledge and experiences of small company entrepreneurs.
	(Barney, 1991; Zeyen et al., 2013)	Resource-Based View	The resource-based theory argues that a company is most likely to be successful in the long run if it has resources that are valuable, rare, hard to copy, and can't be replaced.
Entrepreneurship Perspective	(Desa, 2012; Murphy & Coombes, 2009)	Opportunity Recognition & Mobilisation	It states that when the level of mobilisation grows, the environmental, economic, and social resources converge.
	(Gunzel & Krueger, 2013)	Business Model	The business model makes a venture successful in the marketplace. Its components are value creation, value delivery and value propositions.

Source: Adopted from (Singh, 2016; Zeyen et al., 2013)

11.5 CHARACTERISTICS OF SOCIAL ENTREPRENEURS

Social entrepreneurs bring changes and show the way businesses operate and usher in a new age of social transformation. They grasp hidden opportunities that others overlook and enhance the existing equilibriums. They accomplish

this by introducing innovative techniques and establishing sustainable solutions to shift the status quo for the good of society. Social entrepreneurs are driven by the feeling to promote the well-being of society, whereas business entrepreneurs are often motivated by the potential for financial gain. Despite this, social entrepreneurs are just as imaginative and open to change as their corporate competitors. Social entrepreneurs are always looking for new and improved ways to tackle the social issues that affect society.

Social Entrepreneurs are characterised in the following ways:

- **Social Catalysts**

The efficiency and efficacy of corporate organizations have been blended with the social concerns of a wide variety of non-profit organizations and government agencies thanks to the work of social entrepreneurs. Because of this, social entrepreneurship is seen as having considerable promise for addressing a variety of the societal problems that we are now confronted with (VanSandt et al., 2009).

- **Motivations and the Recognizance of Opportunities**

Yitshaki & Kropp (2016) explored the entrepreneurial patterns of 30 Israeli entrepreneurs by conducting a life story analysis. They stated that understanding motivations can help social investors evaluate entrepreneurs' ability to be successful as good actors based on their tacit knowledge of the unmet needs of specific communities.

They revealed the following two factors:

- Pull Factors:

- Finding solutions to unmet social needs based on past and present experiences
- Internal motivations based on identification with social needs and process evolution of an idea

- Push Factors:

- Identification with social needs or process evolution of an idea

- **Innovators**

The basic tenet of social entrepreneurs is to bring something new or innovate some new ways to solve social problems. The results of social innovation can take the form of products, production methods, technologies, services, interventions, business models, or a combination of all of these (Lubberink et al., 2018).

- **Business Model Creator**

Social entrepreneurs are rapidly growing the number of organizations that have made models for efficiently meeting basic human needs. Essentially existing markets and institutions have not been able to meet the basic requirement; consequently, niche markets are created. Social entrepreneurship combines the creativity of traditional entrepreneurship

intending to make the world a better place (Seelos & Mair, 2005).

These are some of the characteristics of social entrepreneurs. There can be many more also. Since "entrepreneurship" as a domain, is very flexible. Based on disruptive technologies, an entrepreneur can come up with distinct products or services by challenging the existing players. It is evident in the banking sector as Fintechs firms have largely contributed to achieving the objectives of financial inclusion.

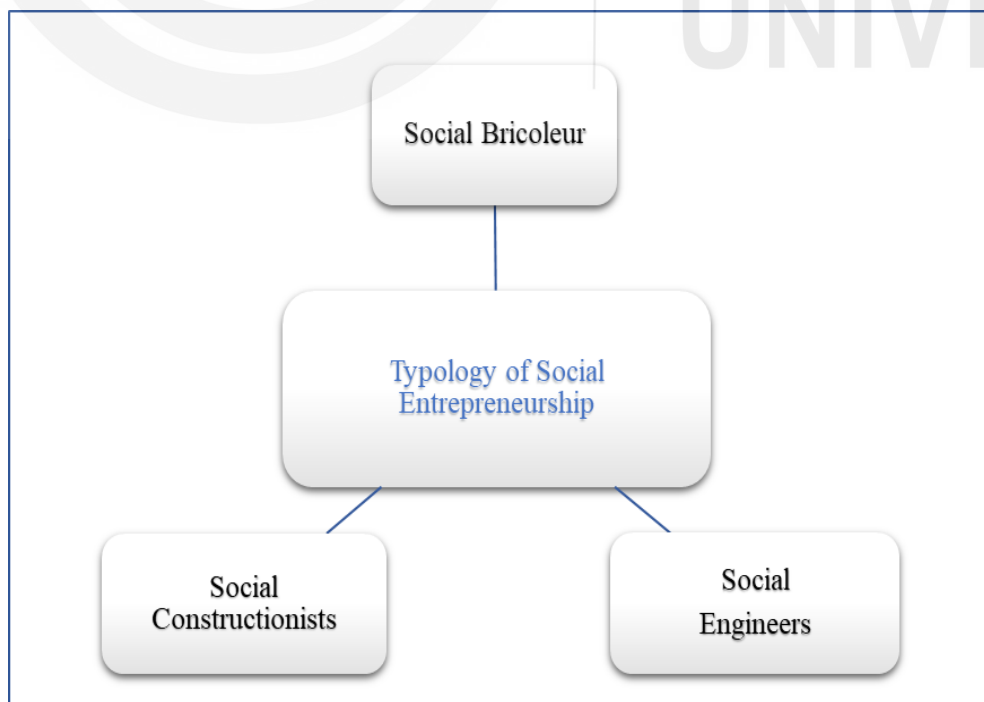
11.6 SOCIAL ENTREPRENEURSHIP: TYPOLOGY

Scholars of entrepreneurship have documented for a long time the variety of distinct forms of entrepreneurship. Contributing to the call for theory building of social entrepreneurship, researchers and academicians like Schumpeter (1942), Zahra et al. (2009), and Dees (1998) among others have attempted to fill the gap. Primarily, academicians have identified many forms of social entrepreneurship that are undertaken and classified them according to the distinctive qualities they share.

The authors like Smith & Stevens (2010) have created three archetypes, each of which occupies a prominent and distinctive portion of the social entrepreneurial landscape. Drawing inspiration from three cornerstones of entrepreneurial theory: Frederick Hayek, Israel Kirzner, and Joseph Schumpeter, the authors shed light on the nature of social entrepreneurship. It is worth discussing the social entrepreneurship classification to deepen the understanding.

Typology of Social Entrepreneurship

Figure 11.3: Typology of Social Entrepreneurship



Source: Adopted from (Smith & Stevens, 2010; p. 586)

A. Social Bricoleur

The Social Bricoleur perspective of social entrepreneurship is mostly grounded in and carried out on a local level. Social entrepreneurs are from the local community only and are well acquainted with local social issues. First-hand experience and exposure to social problems are one of the major driving forces for social entrepreneurs. Such social entrepreneurs with implicit and tacit knowledge of particular local circumstances come up with a unique solution to episodic issues. It has been noted that such social entrepreneurs face resource scarcity as social problems are contextualized in local issues. Such social problems requires fix within the local context; hence resource constrained solutions need to be thought of by such social entrepreneurs. Consequently, the smaller nature of solutions does not allow a social entrepreneur to scale up. Thus, one of the limitations of social bricoleur is that it has limited applicability.

Harvard Business Review published a case Transforming Rural India Through Agricultural Innovation (2014), written by Vijay Govindarajan on National Agro Foundation (NAF). It highlights how innovatively social problems like poverty were encountered by introducing technology infusion in agriculture, soil enrichment, efficient farm and water management, improved cattle development, functional literacy, rural sanitation and public

NAF

NAF addresses the wicked problem of rural poverty in India by experimenting with agricultural innovation. Mr C. Subramaniam, the Architect of India's Green Revolution and a recipient of the Bharat Ratna Award, established the NAF in the year 2000 as a Public Charitable Trust to usher in a rural revolution with a particular focus on agriculture and small and marginal farmers as well as bring about inclusive growth.

Mr Subramaniam envisioned NAF to promote the economic and social development of farmers on a sustainable basis using a "Soil to Market" strategy. He was the creator of India's Green Revolution, which used a "Seed to Grain" methodology.

NAF has articulated an agile strategy with a prime focus on advancing and strengthening the interdependent and mutually reinforcing pillars of sustainable development with "Education" "Economy" "Environment" & "Empowerment" as its thematic focus in the context of agriculture and rural development. This strategy was inspired by the opportunity to deliver innovative and replicable solutions to the complex and interlinked socio-economic-environmental challenges of today's rural India.

NAF believes that the key to achieving sustainable development is to recognise, comprehend, and then act upon the links that exist within key focus areas.

Dr APJ Abdul Kalam, a former President of India, took over as Chairman of the Governing Council of NAF after Mr Subramaniam's retirement and served in that capacity until he was elected President of India.

Source: Adopted from <https://www.nationalagro.org/>

health, human resource development, and establishment of self-help groups particularly among women, opportunities for self-employment, and facilitation of institutional credit are some solutions that have addressed the issue of low farm productivity in India.

B. Social Constructionists

The Social Constructionist approach to social entrepreneurship looks for possibilities to improve society by being much more aware than other people of the existence of such opportunities. These kinds of entrepreneurs have a more national perspective on the market and look at the issue as a whole, rather than seeing it only as a regional problem. They are looking at the possibility of designing a programme to address a local issue that may be adapted to address issues that arise in a variety of settings and locations. This kind of entrepreneurship, in contrast to social bricoleur, is resource-driven and can be scaled up. Its primary objective is to devise a solution that can be implemented not just in India but also in other nations.

The Social Constructionist method of social entrepreneurship is distinguished by its emphasis on challenges that apply to a range of people and/or situations. For Social Constructionists, domain-specific knowledge is less of a way to find problems and more of a way to sort through the many problems they may see. Even though they tend to focus on local issues, their solutions may be useful in a lot of different situations. Even though you might not need domain-specific knowledge to spot a social problem, you might need to know that the same problem shows up in many different places. Therefore, the fundamental advantage that the Social Constructionist has is in identifying an application-oriented solution that has the potential to be expanded to address a problem that may arise in a variety of circumstances.

The Robin Hood Army

The Robin Hood Army is a community-based group created by Neel Ghose, Aarushi Batra, and Anand Sinha in 2014. It is entirely run by volunteers and receives no outside funding. Its mission is to collect leftover food from local restaurants and distribute it to less fortunate individuals. The local chapters are led by friends and co-workers who each have their special method in which they want to make a difference in the world. The charity reaches out to homeless families, patients from public hospitals, orphanages, night shelters, homes for children who have been abandoned, and other groups like these.

For instance, eateries in the neighbourhood of Green Park will make donations to the area's homeless population with the help of residents of Green Park who have volunteered their time. Everyone who participates in this endeavour does it in their spare time, and the majority of "Robins" are young working professionals or students. Homeless families, orphans, patients from public hospitals, and residents of old age homes are some of the less fortunate members of society that provide services.

Source: Adopted from <https://robinhoodarmy.com/>

The Robin Hood Army can be considered an example for social constructionists. The organization started its operation in New Delhi and made it a base of operations, which later expanded its activities to include other cities in India. For example, the Army serves in Kolkata, Mumbai, Hyderabad, Bangalore, Jaipur, Jabalpur, Panipat, Gurgaon, Pune, Dehradun, Faridabad, Ahmedabad, and Surat, which makes them truly national. The Robin Hood Army began its operation in Karachi, Pakistan, on February 15, 2015. The organisation is based on and promotes the idea of self-sufficient communities all over the city. This means that each neighbourhood or community in the city will help feed the hungry through local volunteers and restaurants.

C. Social Engineers

Grameen Bank in Bangladesh

In 1976, Professor Muhammad Yunus of the University of Chittagong laid the groundwork for what would later become Grameen Bank by initiating a research project to investigate how to best design a credit delivery system to meet the needs of those living in rural areas who lacked access to traditional banking services. Grameen Bank was permitted by national law to function as an autonomous financial institution in October of 1983. Grameen Bank was established on the principle that loans are preferable to charity as a means of alleviating poverty. Loans provide individuals with the opportunity to engage in income-generating activities, such as starting a business or working in agriculture, which subsequently enables them to pay back the loan.

Grameen Bank provided credit available to groups of individuals who were previously underserved, including the economically disadvantaged, illiterate, and jobless. Access to credit is based on reasonable terms, such as the group lending system and weekly instalment payments, with reasonably long terms of loans, which enables the poor to build on their existing skills to earn a better income in each cycle of loans. For example, the group lending system and weekly instalment payments. Between the years 2003 and 2007, the bank saw substantial expansion. As of the beginning of 2011, the total number of borrowers at the bank was 8.4 million, and the majority of them (97%) were women. The "Low-cost Housing Program" of the Bank was recognised with a World Habitat Award in the year 1998. Muhammad Yunus, the bank's founder, and the institution as a whole were honoured with the Nobel Peace Prize in 2006.

As of October the year 2021, it has 9.44 million members, of whom 97 per cent are women. More than 93 per cent of Bangladesh's total villages are serviced by the Grameen Bank (GB), which has 2,568 branches and operates in 81,678 of the country's villages.

Source: Adopted from <https://grameenbank.org/introduction/>

In the spirit of Schumpeter's definition of entrepreneurship (1942), Social Engineers participate in business activities. Social Engineers are putting Schumpeter's theory of creative destruction into practice. Their goal is to launch new social initiatives that will take the place of the answers that are

now being given by the established institutions. Because of the large size and breadth of their business endeavours, it is argued that this kind of social entrepreneurship should be mainly concerned with the pursuit of legitimacy. This is because widespread support is required for their business endeavours. When it comes to the Social Engineer model of social entrepreneurship, a person's level of previous expertise is likely to play a less significant part in the process of identifying a problem. The emphasis of these social entrepreneurs is on large-scale problems that have broad appeal; these are problems that are well-known in a variety of contexts and are often understood by people who have only a limited understanding of specific components of the problem.

The social entrepreneurs who have the greatest resources are the ones who demolish and recreate the engines of society to attain greater societal goals. They contest the answers that are now being implemented by existing institutions and seek to reorganise the system to address such issues. Social engineers concentrate on large-scale problems that have broad appeal in a variety of contexts and can be easily comprehended by people and society. However, they devise a solution that is not as obvious as the first one. A venture initiated by social engineers may need a significant number of resources, and frequently political capital and government support to discover a solution to the real issue faced by the society.

In 1983, Professor Muhammad Yunus started the Grameen Bank in Bangladesh with the motivation that access to credit should be seen as an essential component of basic human rights. His goal was to assist those less fortunate in climbing out of poverty by making loans available to them on conditions that were agreeable to them and by teaching them a few fundamentals of basic financial management so that they might become self-sufficient.

Table 11.2: Classification of Social Entrepreneurship: A Comparison

	Social Bricoleur	Social Constructionists	Social Engineers
Market Focus	local	Broader	Entire Social System
Knowledge	Local Social Needs	Less Domain-specific	Highly Domain-specific
Resource Access	Poor	With the support of a local community	High investment with the institutional support of government
Scope	Local	Local & International	Global
Scale	Small	Small to large scale	Extremely large scale
Solution	Local	Many different	Global context

Applicability	context	contexts	
Examples	Local training & development, educational services for potential entrepreneurs	Multi-regional services like standardized food and drug assistance programmes	Global/international financial training and assistance programmes targeted at specific groups

Source: Adopted from (Portales, 2019; Smith & Stevens, 2010; Weerawardena & Mort, 2006)

11.7 SOCIAL ENTREPRENEURSHIP VS CORPORATE ENTREPRENEURSHIP

So far, most of the attempts to define social entrepreneurship have focused on adapting management theories for entrepreneurship and non-profits rather than separating the goals and structures of social entrepreneurship from those of traditional for-profit organisations. Both academics and people who do social entrepreneurship have different ideas about what it is and what it is not (Trivedi & Stokols, 2011).

Table 11.3: Difference between Social Entrepreneurship and Corporate Entrepreneurship

<i>Differentiation Points</i>	Social Entrepreneurship	Corporate Entrepreneurship
<i>Purpose</i>	To bring positive social change	Wealth maximization (personal and stakeholder)
<i>Goal</i>	Identify and solve social problems	Identify niche markets and need fulfilment
<i>Growth</i>	Growth through sustainability	Growth through customer satisfaction
<i>Grounding</i>	Market/Government incapability to provide prevailing social problems	Market potential
<i>Value Creation</i>	Social Value	Economic Value
<i>Outcomes</i>	Social problems mitigation	Creation of wealth

<i>Entrepreneurs' Role</i>	Full and direct involvement at all stages (ideation to implement)	Full and direct involvement at all stages (ideation to implement)
<i>Collaboration</i>	Required at all stages	Collaboration may not be required

Source: Author's own output

11.8 SOCIAL ENTREPRENEURSHIP: PRESENT SCENARIO

Social Entrepreneurship - formed out of the cooperative movement that started in Europe in the eighteenth century, the social business didn't acquire much momentum until the 1980s and 1990s when the social innovation and social enterprise schools of thought and practice came into being. But for hundreds of years, philanthropists, including those who are now called venture philanthropists, have been guided by the principles of social entrepreneurship. The rise of social entrepreneurship needs to be looked at in the context of a larger shift in the way business and work are done. A big part of this change is that both internal and external social capital is becoming more important for businesses in general.

According to the Schwab Foundation report (2021), Corporate Social Entrepreneurs (CSEs) are individuals who use their company's resources and connections to help others get access to financial services, technology and education, to name a few. A growing number of Public Social entrepreneurs are leading their cities or institutions toward increased public engagement and more efficient government services and public-private collaborations. Social innovators in Africa, Asia, and the Americas have benefited greatly from the research and development efforts of Social Innovation Thought Leaders.

According to Schwab Foundation, the top sectors where social entrepreneurs have contributed the most are education, economic development and enterprise development (refer to figure 11.4)

Top sectors in which social innovators are engaged

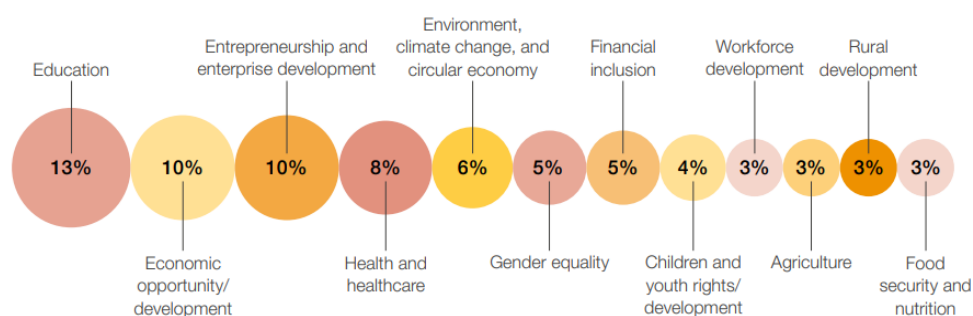


Figure 11.4: Social Innovations & Top Sectors (2021)

Source: Adopted from (Schwab Foundation – Annual Report 2020-2021, p. 9)

Social Entrepreneurship: Sustainable Development Goals (SDGs) & 2030 Agenda

17 SDGs are at the centre stage, a worldwide call for action from wealthy and developing nations alike. SDGs are based on decades of effort by governments and the United Nations. The division for SDGs in the UN Department of Economic and Social Affairs (UNDESA) aims to provide support and assistance in the form of concrete help and training to those social entrepreneurs who contribute to achieving SDGs. The 2030 Agenda can only become a reality if all stakeholders take ownership of the SDGs and make a strong commitment to putting them into action.

Table 11.4: 17 SDGs to Transform the World

1	Zero Poverty	0	Reduced Inequality
2	Zero Hunger	1	Sustainable Cities and Communities
3	Good Health and Well-being	2	Responsible Consumption and Production
4	Quality Education	3	Climate Action
5	Gender Equality	4	Life Below Water
6	Clean Water and Sanitation	5	Life on Land
7	Affordable and Clean Energy	6	Peace and Justice Strong Institutions
8	Decent Work and Economic Growth	7	Partnerships to achieve the Goal
9	Industry, Innovation, and Infrastructure		

Source: Adopted from <https://sdgs.un.org/goals>

Social entrepreneurs can refer to these 17 SDGs and align the activities accordingly. These goals can be considered as broad guidelines or grand challenges to identify the problems.

11.9 SOCIAL ENTREPRENEURSHIP: USE CASES

The Schwab Foundation (headquartered in Geneva, Switzerland) is a non-profit Swiss organisation under the supervision of the Swiss Federal Government. It was started by Klaus Schwab and his wife Hilde in 1998 to promote social entrepreneurship. It offers support at the country, regional, and global levels for the development of Social Entrepreneurship. World Economic Forum and The Schwab Foundation are working together. It selects 20–25 social entrepreneurs each year through a global competition called "Social Entrepreneur of the Year" (Schwab, 2022). In the following paragraphs, we look at the Schwab Foundation award-winner social entrepreneurs, who have remarkably performed during the last few years and contributed to society at large.

CASE 1: Karo Sambhav

Pranshu is the founder of "Karo Sambhav," a company that works with producers and brands to come up with and implement transformative circular and extended producer responsibility (EPR) solutions. Karo Sambhav is building a local ecosystem to set up a strong solution for India-wide collection, recycling, and management of secondary materials for many types of waste, such as e-waste, plastics waste, batteries waste, and glass waste. The technology platform and systems used by Karo Sambhav help with good governance, fairness, trust, transparency, and tracking. Apple, Cisco, Dell, HP, Ericsson, Vivo, Oppo, Xiaomi, Hafele, Toshiba, Coca-Cola, Pepsi, CavinKare, Tetrapak, Reliance, Luminous, Saint Gobain, etc. are some of the brands that have worked with Karo Sambhav.

Karo Sambhav works with a wide range of partners, such as IFC, ILO, GIZ, WEEE Forum, GWMA, MEITY, MAIT, and FICCI, to co-create industry-level frameworks and engagement programmes that change people's habits over time and make it possible to collect and recycle waste on a large scale in a responsible way.

Source: Adopted from (Schwab, 2022) <https://www.karosambhav.com/our-services>

Activity 1

Read the case and uncover the characteristics of a Social Entrepreneur.

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CASE 2: Rishi Valley Institute for Educational Resources (RIVER)

RIVER has started several satellite schools in and around the Rishi Valley. About 550 children are currently getting help from these. RIVER's work over the past 30 years has led to the creation of the RIVER multi-grade multi-level methodology (MGML), which aims to solve problems that are common in the Indian countryside. It helps schools in rural and urban areas where there is no link between age and ability and where there are a lot of students who drop out. Its goal is to give the child more control over his or her education. It includes a technological part where content can be sent to cheap tablets. It can be made bigger without having to standardise, which is what most programmes that are made bigger need to do.

It has been shown beyond a reasonable doubt that the MGML technique is effective in achieving social and gender fairness. It is inclusive, making room for both rapid learners and slow learners to thrive within its environment. It allows former students to resume their education without forcing them to start

from scratch academically. It is adaptable and may be altered to fulfil specific needs in a given location. It draws on evaluations that are ongoing and thorough. It makes it easier to make comparisons between different schools. The approach is cost-effective since a single classroom can accommodate students from grades one through five with the help of a single instructor who has been educated in the technique. Schools are envisioned in the design to serve as community resource centres for the surrounding populace and as a hub for recreational activities in the Commons.

Source: Adopted from (Schwab, 2022) <https://www.rishivalley.org/river-institute-for-educational-resources>

Activity 2

Read the case and discuss how it is different from Corporate Entrepreneurship.

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CASE 3: Sarvodaya Shramadana Movement

In 1958, A. T. Ariyaratne established the organisation by leading forty high school students and twelve instructors from Nalanda College in Colombo on "an educational experiment" to an outcaste hamlet called Kathaluwa, where they assisted the locals in repairing and improving the community. The Sarvodaya Shramadana Movement has a unique philosophy and strategy for development that encourages both individual and community self-reliance and self-governance. Sarvodaya encourages people to share resources like labour, time, and ideas to make "sustainable village economies that meet the 10 basic human needs", which are as follows:

1. Clean environment
2. An adequate supply of water
3. Clothing
4. Nutritious food
5. Shelter
6. Health care
7. Communication
8. Fuel and lighting (energy)
9. Access to education
10. Cultural and spiritual performance

In each village, Sarvodaya uses a five-step intervention model that includes figuring out what the community needs, getting the community to work together, setting up self-help groups called Sarvodaya Shramadana Societies, measuring the impact, and helping other village communities. Each village gets a unique mix of products, services, and activities that help with economic development, building peace, and giving emergency aid. As of 2012, this model, which is run by a staff of 1500 people, reaches 15,000 villages in 25 districts in Sri Lanka.

Source: Adopted from (Schwab, 2022)<https://www.sarvodaya.org/>

11.10 SUMMARY

To summarize the unit, we can say that entrepreneurs in the area of social entrepreneurship focus their efforts on generating a positive impact on society as a whole. They often do it with no thought of monetary gain in mind. Social entrepreneurs are motivated to make a difference in the world as a consequence of the work they do. Although earnings are important to social entrepreneurs, this is not the driving force behind their work. The financial objectives of social businesses are put in place to support and optimise the social impact that they want to achieve. Social enterprises often return a large portion of their income to the organization's mission and long-term viability. Profits from social companies are shared among the members, but decision-making is not related to ownership of capital. Their social goal often includes hiring and educating disadvantaged populations or rebuilding depleted community resources, to further their business's social effect.

Another characteristic of social entrepreneurship is its ability to cultivate long-term partnerships with local stakeholders in the community. Due to their hybrid organizational structure, social enterprises are different from other businesses since they combine the best of both worlds. The further distinction in social entrepreneurship in the form of the social bricoleur, social constructionist, and social engineers defines the boundary whereby social entrepreneurs can find a way to get access the support from the local community, and governing body. Moreover, institutional support further enthuses the spirit of social entrepreneurs.

11.11 KEYWORDS

Social Entrepreneurship: Social entrepreneurship is the process of recognizing and resourcefully pursuing opportunities to create social value.

Social Bricoleur: The Social Bricoleur perspective of social entrepreneurship is mostly grounded in and carried out on a local level.

Sustainable Development Goals (SDGs): The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity.

Social Constructionist: The Social Constructionist approach to social entrepreneurship looks for possibilities to improve society by being much more aware than other people of the existence of such opportunities.

Social Engineers: Their goal is to launch new social initiatives that will take the place of the answers that are now being given by the established institutions.

11.12 SELF-ASSESSMENT QUESTIONS

- 1) What are the primary advantages that come from operating a social enterprise?
- 2) What kind of guiding principles or overarching ideas should be used in the development of social enterprises?
- 3) What are the major elements of social entrepreneurship?
- 4) Which theoretical perspective justifies social entrepreneurship the most?
- 5) What is the difference between social entrepreneurship and corporate entrepreneurship?
- 6) Visit a social enterprise and write an assignment on socio-economic value creation.
- 7) Consider yourself as a social entrepreneur and identify a social problem around you. Explain how innovatively you will resolve the social problem.
- 8) Prepare a social project based on the given SDGs.

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UNIT 12 RURAL ENTREPRENEURSHIP

Objectives

At the end of this unit, students will be able to:

- understand rural entrepreneurship in an Indian Setting
- differentiate between various modes of rural entrepreneurship
- examine the government's rural entrepreneurship efforts
- uncover women's entrepreneurial development in rural India

Structure

12.1 Introduction

12.2 Rural Entrepreneurship in India

12.3 Types of Rural Entrepreneurship

12.4 Rural Entrepreneurship's Advantages and Disadvantages

12.5 Government actions to promote Rural Entrepreneurship

12.6 Role of women's entrepreneurship in rural India

12.7 Summary

12.8 Key Words

12.9 Self Assessment Questions

12.10 References/Further Readings

12.1 INTRODUCTION

Since liberation in 1947, India has had a spectacular path of advancement. The economy presently features 1.3 billion inhabitants and a nearly \$3 trillion GDP. Over the last decade, the average annual GDP expansion pace has been roughly 7%. As suggested by the National Commission on Agriculture, 1970, there should be a greater emphasis on the use of science and technology to achieve greater efficiency. As a result, there seems to be a crucial structural improvement in informatics, logistics, and industries. Accordingly, the absolute volume of the agricultural workforce went up from 234.1 million in 2001 to 263.1 million in 2011, as per Census 2011. Yet, the fraction has plummeted from 58.2% in 2001 to 54.6% in 2011 (Press Information Bureau, 2020). Rural labour relocating from rural to urban communities is a widespread phenomenon. Factors identified are increased work options throughout the manufacturing and services sectors; demographic change; poor agricultural output; and so on. Agriculture's declining yields had already put the entire farming industry in enormous hardship. Well, that is causing a big variation among village and city livelihoods. So, now there is an imperative demand to speed up sustainable rebalancing so that rural residents get appropriate means and opportunities. Rural entrepreneurship might well handle such a dilemma by producing self-employment and pooling societal resources.

The increasing disparity is indeed a crucial problem in the post-independence evolutionary phase, and it must be bridged effectively to realize equality in opportunity. The socioeconomic and academic situations in rural India demand professional development that partakes in entrepreneurial ventures but also stimulates a sustainable national economy. This unit discusses diverse elements of rural entrepreneurship, including its definition; current state; government activities; and the participation of women entrepreneurs in rural India.

12.2 RURAL ENTREPRENEURSHIP IN INDIA

An entrepreneur is someone who initiates a new line of business, assuming the risks but also reaping the major portion of the returns. They usually draft a corporate strategy, employ staff, arrange funds and resources, and oversee the company's operations. Entrepreneurship applies to this practice of attempting to set up a company. The entrepreneur is widely regarded as a visionary and a generator of fresh concepts. An entrepreneur is one of the four factors of production who unites land, labour, and capital to create merchandise or deliver services.

The epithet entrepreneur originated from "*entreprendre*", a 13th-century French term that means "to do something" or "to undertake". In 1730, Richard Cantillon characterized the readiness to shoulder the financial risk of a commercial enterprise as the distinguishing feature of an entrepreneur. Jean-Baptiste Say, as well as John Stuart Mill, two during the 18th century, helped popularize the term "entrepreneur" in academia. Say emphasized the value of coalescence by switching resources from less productive to highly productive alternatives. In 'Principles of Political Economy', Mill discusses an "entrepreneur" as a person that upholds both risks as well as the administration of a firm. While Joseph Schumpeter often claimed that the tempo of economic progress of a country rests upon the speed of innovations, it is based on entrepreneurial potential. Before actually delving into rural entrepreneurship in India, one must be cognizant that entrepreneurs venturing into rural entrepreneurship must not only operate firms in rural parts of the country but leverage rural supply as raw material and hire rural residents in manufacturing techniques. In short, it's entrepreneurship that brings worth to rural assets.

"Rural entrepreneurship is, in essence, that entrepreneurship which ensures value addition to rural resources in rural areas engaging largely rural human resources. In other words, this means that finished products are produced in rural areas out of resources obtained in rural areas by largely rural people" ((Khanka, 2006; p. 68).

The concept of rural entrepreneurship is grounded in rural industrialization. Traditionally, rural entrepreneurs preferred hamlet industries (khadi, handloom, sericulture, handicrafts, and coir). But since the Indian market has emerged globally, competitive rivalry is surging at an astounding level. As a catalyst for macroeconomic growth, rural entrepreneurship beguiles attention in the modernized sphere (power looms and small-scale enterprises). Yet, to prosper, rural entrepreneurs need a benevolent culture.

Rural territories are home to over 70% of Indians. It pretty much signifies that potential for entrepreneurs might seep through the villagers. Paradoxically, rural India has yet to transliterate into better output or inclusivity; primarily due to the society's perplexing rural-urban divide. Despite developments, the rural economy seems profoundly enmeshed. They are enslaved by both budgetary and behavioural constraints.

Well, entrepreneurialism in rural India seems trickier. Yet it might brazen out a wide variety of socioeconomic issues by putting the focus on capital formation, employment, increased per capita income, fair and equal distribution of wealth, and sustained growth. Such major developments emanating from bottom-up rural business intentions may neutralize the poor effects of top-down filtration as envisioned by the government. Equitable growth is the demand of the era. Accordingly, instead of "mass production," the sensible approach to India's woes would be "production by the masses."

12.3 TYPES OF RURAL ENTREPRENEURSHIP

There are four basic forms of rural entrepreneurship:

- 1) Individual Entrepreneurship - It is single ownership of the enterprise.
- 2) Group Entrepreneurship - It mainly covers partnerships, private limited companies, and public limited companies.
- 3) Cluster Formation Entrepreneurship - It covers NGOs, VOs, CBOs, SHGs, and even networking of these groups. These also cover formal and non-formal associations of a group of individuals based on caste, occupation, income, etc.
- 4) Cooperative Entrepreneurship - It is an autonomous association of persons united voluntarily for a common objective.

Individual Entrepreneurship - One individual owns this company. When an individual tends to set up a business taking into account various benefits and threats; with his/her resources, in a special case, capital may be gathered from capitalists or financial companies, providing the needed strong business acumen.

Group Entrepreneurship - When a small group of individuals works together to create a business, they rely on their abilities or qualities to build it. Though, administration of such groups is significantly more difficult than solo ones due to shared accountability or unsettled judgment.

Cluster Formation - Clustering has been regarded as a setting with exposure to all interconnected and contending institutions. Clusters usually form when commercial activities inside a particular supply chain are consolidated. If a substantial number of individuals or activist groups, including Non-Governmental Organisations (NGOs), Voluntary Organisation (VOs), Self-Help Groups (SHGs), Community Based Organisations (CBOs), participate, the business will form. The benefits of such a group include economies of scale, a strong supply chain, and, most importantly, a promising basis for sharing revenue growth with significant societal impact. The sustainability of

such ventures is usually driven not just by resources but by the affirmative engagement of entrepreneurs.

Co-operatives - An independent group of citizens uniting deliberately to satisfy common interests and requirements within a jointly-owned venture. It consists of both formal and informal activities working towards a shared agenda, For instance, artefact makers, livestock, and fishing businesses. The establishments mentioned above are fantastic examples of combining ingenuity and innovation at the grassroots level to overcome rural challenges in a commercially viable manner.

Rural Industries comprise six different sectors:

Rural industries can be witnessed mostly in the fields of farm value addition, forest-based, mineral-based, textile, and various engineering products. The quality and affordability of raw materials, and also the markets for final output, are the most fundamental criteria in choosing a start-up.

Agro-Based and Food Processing Industry ⇒ Village Oil Industry; Aromatic Oil; Honey & Beekeeping; Palm Gur and other Palm Products; Fruit & Vegetable Processing Industry; Pulses & Cereals Processing Industry; Spices & Condiments Processing Industry; Gur & Khandsari Industry; Collection of Minor Forest Produce; Bamboo, Cane & Reed Industry; Organic Dyeing Industry; Medicinal Plant Collection & Processing Industry.

Mineral Based Industry ⇒ Hand Made Pottery, Glazed & Ceramic Pottery, and Pottery as Home Décor, Pottery for Food Industry; Stone Cutting & Polishing Industry; Ceramic Tiles Industry; Granite Cutting, Polishing, Stone Carvings, Sculptures, etc.; Brass Metal and other Metal Crafts Industry.

Wellness & Cosmetics Industry ⇒ Wellness & Cosmetics including Soap & Oil Industry; Aromatic Oils & Fragrances Industry; Cosmetic and Beauty Products Industry; Hair Oil and Shampoos, Toiletries Industry; Bathing Soap Industry; Incense Stick Industry.

Hand Made Paper, Leather and Plastic Industry ⇒ Hand Made Paper, and Paper Products Industry; Paper Conversion Industry; Leather Industry; Plastic Industry; Natural Fibre other than Coir Industry.

Rural Engineering and New Technology Industry ⇒ Bio-Gas, Non-Conventional Energy, Bio-Manure, Vermi-Compost Industry; Carpentry & Blacksmithy Industry; Agricultural Implements & Tools Industry; Electric & Electronic Products Industry; Dry Dairy; Household Metal Utensils & Articles Manufacturing Industry.

Service Industry ⇒ Small Business; Maintenance and Servicing of Electrical & Electronic Goods; Farm Aggregators (Pre & Post Farming).

12.4 RURAL ENTREPRENEURSHIP'S ADVANTAGES AND DISADVANTAGES

Advantages

In regional regeneration, entrepreneurship may be incredibly valuable to the country's overall economic success. Encouragement of business in rural parts of the country might aid in transforming the landscape of agricultural communities. Here are the key benefits of rural entrepreneurship:

Capitalization of local assets: Rural businesses facilitate the efficient application of indigenous resources, raw materials, and labor for commercial ends, thereby multiplying development. It can indeed mobilize rural investments and contribute to the expansion of rural financial affairs.

Exalt employment avenues: Rural industries provide a significant number of job opportunities to rural dwellers. Village industrialisation might successfully address the fundamental dilemma of sizable unemployment and underemployment, especially in rural parts.

Circumventing the rural flow of migrants: Paucity of development prospects and economic hardship rural people often make a move to urban provinces in search of a brighter tomorrow. All of this fosters a rural-urban divide. Rural entrepreneurship will support livelihoods and it will dissuade them from migrating.

Encouragement of artistic processes: The rich culture of India could be perpetuated with rural entrepreneurship support by nurturing traditional art and crafts.

Balance the society's wickedness: The existence of rural entrepreneurship might help alleviate social injustices like destitution, the proliferation of slum dwellers, urban pollution, and so on.

Motivate rural population: Thriving rural entrepreneurs assist the rural masses with various ways to engage in business as a career and offer additional non-farm occupations.

Promote local economy: Rural industrialisation can boost the countryside's industrial prosperity. They are focused on local preferences, improving the gap between demand and supply, or augmenting income levels.

Foreign currency revenues: Sparsely populated firms play a big role in strengthening the nation's foreign exchange reserves with the export of various niche products.

Leading professional development standard: Rural entrepreneurship can increase the general level of information among rural populations. These abilities and awareness will increase the quality of life.

Disadvantages

Rural entrepreneurs encounter a variety of limitations due to poor physical connectivity, digital connectivity, and financial inclusion. Such as a resilient

and productive existence; skill enhancement, or rather, vocation fit; rural socio-economic participation. Some of the concerns associated with rural start-ups are as follows:

Lacking experience and understanding: There seems to be an insufficiency of proper skills and abilities for the business potential within the village community. Besides, several learned and competent individuals leave the town and move to urban areas in pursuit of opportunities, widening the gap.

Lack of funding: Capital is unquestionably an integral aspect of any business. Rural businesses have always been concerned with generating funds for their endeavours. Due to lack of financial choices, businesses are obliged to take loans from unregulated lenders, who impose exorbitant interest rates.

Inadequate entrepreneurial willingness: The vast majority of rural residents are unsure of the best way to approach the corporate world. Preferences for being employed as labor or a sheer lack of a unique and innovative vision are the factors limiting the spread of enterprising in rural areas.

Need for professional knowledge: Sparsely populated areas lack administrative, scientific, and commercial expertise, which leads to the annihilation of the entrepreneurial spirit, and as a result, few individuals move distant to build units.

Limited infrastructural amenities: Rural regions are affected by the lack of infrastructural options such as expressways, supermarkets, power, information exchange, processing, storage, etc., which impede seamless industrial undertakings.

Unfavourable socioeconomic environment: Social stratification, cultural ills, religious myths, and other factors stifle the development of the inquisitive nature. Furthermore, the preference for items manufactured by multinationals, large corporations, and so on complicates matters significantly for aspiring entrepreneurs.

Absence of marketing knowledge: The need for effective interaction and access to appropriate but also reliable data renders it tricky for rural businesses to comprehend market dynamics.

Lack of qualified personnel: Highly trained professionals concentrate on capital. Since the pay is lower in rural settings, entrepreneurs in remote places have a hard time attracting people with the right skills.

Subpar quality merchandise: Buyers are now particularly vigilant about quality of products. Rural businesses still end up making average-quality commodities due to poor raw material grades as well as a lack of standardization techniques or machinery.

Competition: Rural businessmen face a fierce competitive edge from MNCs, large corporations, and even urban small business owners. Such firms must emerge, featuring innovative marketing tactics that the community may

readily embrace.

Distribution barriers: Branding is primarily concerned with transmission networks and supply chains. The majority of the times, rural entrepreneurs rely on intermediaries. Unfortunately, the mediator swindles them for services.

Activity 1

Briefly discuss various advantages and disadvantages of rural entrepreneurship.

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12.5 GOVERNMENT ACTIONS TO PROMOTE RURAL ENTREPRENEURSHIP

Rural entrepreneurship is quite adaptable to change in settings in which twin orientations to improvement, "bottom-up" and "top-down," complement one another. Nurturing start-ups in rural areas takes a lot more sophisticated and unique strategy than in urbanized setups. It necessitates not merely the evolution of entrepreneurial talents but also the deployment of a coordinated provincial model (Ajmeri, 2012; p. 103).

Various organizations, like SIDBI, NABARD, and RRBs, are addressing the venture capitalists' issues. Also in 2015, the central government instituted MUDRA Bank to offer assistance to budding entrepreneurs. To provide rural enterprises subsidised credit; an adequate supply of resources; mentoring services for rural entrepreneurs; brand management.

Statutory bodies and other attached offices:

Khadi & Village Industries Commission (KVIC) has been heralded as a prominent body inside the unorganized economy for fostering long-term non-farm prospects with low per capita input. It also increases career opportunities in rural areas. It carries out operations including skills training, technical exchanges, research and development, and so forth. According to the MSME Annual Report 2021-22, throughout India, more than 2863 Khadi Institutions float a vast community that undertakes KVIC activities and employs over 4.97 Lakh individuals. Female artisans make up more than 80% of the total (MSME, 2022).

National Small Industries Corporation Ltd. (NSIC) has been set up as a training-and-incubation center and also provides a package of services as per the needs. The idea behind NSIC is to foster the growth of micro, small and medium enterprises in the country. Through its distribution network, NSIC has been supplementing the availability of raw materials all over the country.

Arrangements have been made with suppliers to provide materials as per requirements. It operates through a nationwide office network, with eight technical centers located at Okhla (New Delhi), Hyderabad (Telangana), Howrah (West Bengal), Rajkot (Gujarat), Chennai (Tamil Nadu), Rajpura (Punjab) & Aligarh (Uttar Pradesh) & Neemka (Haryana).

NSIC's commercial gateway, Global Mart Web Portal, presents an e-marketing forum for corporate across the nation. The platform features a large directory of registered users seeking corporate leads like protracted alliances, subcontractors, and involvement in public procurement. NSIC gets involved in key national as well as international exhibitions and trade fairs to demonstrate the strengths of Indian MSMEs and to exploit market horizons. NSIC makes it easier for small businesses to join by offering rental discounts and other benefits. Presence in such gatherings connects MSMEs to worldwide trends and strengthens their commercial capabilities.

Mahatma Gandhi Institute for Rural Industrialisation (MGIRI) endorses rural industrialisation for long-term hamlet livelihoods, letting the KVI segment cohabit with the mainline. Pull in specialists and professionals to Gram Swaraj. Invest in local craftsmanship development via pilot studies and research operations, harnessing native means. MGIRI's operations are conducted by its six segments.

- i) **Chemical Industries Division:** The ultimate emphasis of this section are to achieve quality awareness but also standardization within food processing, organic foods, and other chemical goods. It also offers extensive quality control services and now is aiming to add field competent packages, methodologies, and solutions to help cottage and small-scale entities.
- ii) **Khadi and Textile Division:** Its major tasks are to raise the productivity, value addition, and quality of items spawned by khadi establishments by launching innovative solutions or delivering quality management assistance. Then it strives to bring readily accessible eco-friendly commodities as well as methodologies.
- iii) **Bio-processing and Herbal Division:** This unit devised a technological suite plus an effortless quality system to enable the manufacture as well as distribution of organic manures, bio-fertilizers, and bio-pesticides to boost countryside start-ups. This unit is indeed working to create novel compositions with "Panchagavya" and also its quality assurance infrastructure.
- iv) **Rural Energy and Infrastructure Division:** This group has been tasked with building user-friendly and cost-effective solutions that employ readily accessible renewable energy streams to help rural industries, as well as auditing established industries to get operations energy proficient.
- v) **Rural Crafts and Engineering Division:** Its target is to support farm craftspeople by strengthening existing ability, ingenuity, and output, along with promoting intrinsic worth with excellent quality products.

- vi) **Management & Systems Division:** The said segment facilitates rural industries using information and communication technology tools to achieve a worldwide competitive edge.

National Council for Vocational Education and Training (NCVET) has been designated as an enveloping skills supervisor. Two extant skill supervisory institutions, the National Skill Development Agency (NSDA) and the National Council for Vocational Training (NCVT) merged to effectuate comprehensive administrative transformation. The NCVET is entrusted with governing the actions of undertakings active in technical and vocational education and prescribing basic standards for said activities.

National Institute for Entrepreneurship and Small Business Development (NIESBUD) is now a key unit, of the Ministry of Skill Development and Entrepreneurship engrossed in training, consulting, research, and other activities to encourage entrepreneurship and skill-centric development. Refresher courses for trainers, management development programs, entrepreneurship-cum-skill development initiatives, entrepreneurship development Initiatives, and cluster counselling are its key operations.

Indian Institute of Entrepreneurship (IIE) is an autonomous organization that nurtures entrepreneurialism via instruction, review, and other consultancies. It is headquartered in Guwahati, Assam. Since 1979, the Centre has been playing a valuable part in the practice of stimulating entrepreneurship, first as the North Eastern Regional Branch of SIET, and eventually as NISIET (1984). The Ministry of Industry, Department of SSI, and ARI, Govt. of India, transitioned it into an autonomous institute on April 1, 1994. Thereafter, in 2007, it was transferred to the Ministry of Micro, Small, and Medium Enterprises (MSME). It is currently functional under the Ministry of Skill Development and Entrepreneurship (MSDE), with effect from May 22, 2015.

Schemes and programs designed to encourage rural entrepreneurships

A Scheme for Promotion of Innovation, Rural Industries, and Entrepreneurship (ASPIRE), aims to assist a network of technology hubs as well as incubation centres to drive start-ups towards excellencies in the agro-industry. ASPIRE grants financial services to the Livelihood Business Incubators (LBI) and Technology Business Incubators (TBI). It adds synergies between the scheme and the livelihood enterprises. Take effective measures for the incubation and commercialization of new proposals through institutes, primarily ones from the farm economy. They are known as "knowledge allies."

Scheme of Fund for Regeneration of Traditional Industries (SFURTI) priority is to structure conventional businesses as well as artisans into clusters. To raise competitiveness, enlighten traditional craftspeople of the affiliated groups with specific skills and basic amenities. Support long-term sustainable growth with employment, marketability, and equipment. Indurate cluster governance and public-private partnership arrangements to sooner or later recreate such cluster-based revitalization.

To facilitate soft, hard, and thematic intervention strategies, monetary help in each project is up to a ceiling of ₹8 crores. The scheme is open to NGOs, government, private, and panchayat raj institution functionaries, as well as corporate philanthropists with expertise in cluster development.

Start-up Village Entrepreneurship Programme (SVEP): Ministry of Rural Development is administering SVEP, a sub-scheme underneath the Deendayal Antyodaya Yojana–National Rural Livelihoods Mission (DAY-NRLM). The goal is to serve the rural poor by setting up businesses in non-farm sectors. Its claimants comprise DAY-NRLM's Self Help Group (SHGs). The project operates at block levels, so a total of 2,400 firms could be endorsed inside a single block.

Cadre of Community Resource Persons-Enterprise Promotion (CRP-EP): SVEP offers an environment for rural venture progression that includes the Community Enterprise Fund (CEF) for financial assistance but also connects to bank loans. CRP-EP supports in planning, training, etc. It has centres at the block stage for disseminating direction to entrepreneurs.

Provision of Urban Amenities to Rural Areas (PURA) envisions rural infrastructure investment alongside economic restoration measures through the PPP (Public-Private Partnership) model. This is an attempt to leverage private sector efficiencies within asset management and service delivery. Further, to shape livelihood prospects and urban conveniences to mandated standards. They would be accountable for maintenance within designated panchayats/clusters of panchayats for ten-year tenure.

Janshree Bima Yojana was unveiled to deliver a group insurance package to Khadi artists. KVIC developed this policy in collaboration with the Life Insurance Corporation of India. In the event of natural death, artisans can claim ₹20,000, while they can claim ₹50,000 in the event of an accident. Then there is a compensation of ₹50,000 for permanent impairment as well as ₹25,000 for partial impairment. Additional assistance: Kids studying in 9th–12th grade get a scholarship of ₹300 quarterly, up to two children per family.

Pradhan Mantri Kaushal Vikas Yojana (PMKVY) is the MSDE's flagship initiative, being executed by the National Skill Development Corporation. The goal of such a skill certification is to encourage youth to undertake industry-centric skill training that will help them secure a decent life. It facilitates certificate standardization as well as devises a skill register. This raises current labour performance by integrating training into the priorities of the economy. Further participants acquiring training skills from authorized institutions are rewarded with an average pay of ₹8,000.

Startup India Seed Fund Scheme (SISFS) intends to provide financial assistance to entrepreneurs who can demonstrate a concept, prototype, product testing, market penetration, or commercialization. This enables a stage wherein start-ups might attract angel investors or venture capitalists, as well as commercial banks and financial institutions.

Deen Dayal Antyodaya Yojana - National Livelihoods Mission (DAY-NRLM): In June 2011, it was unveiled as a revised variant of the Swarna Jayanti Gram Swarozgar Yojna (SGSY). In November 2015, it was designed as DAY-NRLM. It aspires to develop and maintain institutionalized forums for the rural poor that would boost family earnings with alternative livelihood adjustments and increased financial recourse. DAY-NRLM enables the endorsement of women-owned groupings, namely, Producers Enterprises/Farmer Producers Organizations, to assist women farmers in unlocking the marketplace through the value chain and brand management. The intention is to fabricate a holistic corporate structure that serves primary producers' end-to-end services, covering everything from the establishment of producer associations to marketing alliances.

Furthermore, with the help of TATA Trusts, the Ministry has formed, Foundation for Development of Rural Value Chain (FDRVC). It assists DAY-NRLM state units in designing and managing value chain operations via the outreach of large-scale producer firms.

Government e-Marketplace (GeM): Entrepreneurs in far-flung rural locations are now permitted to peddle their wares to government departments and organizations. GEM, Common Service Centres (CSCs), e-Governance Services India (CSC-SPV), and the Department of Posts concluded a MoU to simplify the exchange of goods and services.

The MoU would most likely benefit last-mile players such as Panchayati Raj Institutions (PRIs), SHGs, Farmer Producer Organizations (FPOs), and other neglected rural groups such as, women and Divyangjan, as well as hunar-haat craftsmen, and so on, in addition to corporate entities, scientific and technical academic institutions, etc.

Pradhan Mantri-YUVA stimulate entrepreneurial intent by assisting existing businesses in expanding and also leveraging young businesses with mentorship in launching businesses by providing a conducive atmosphere through entrepreneurial training and education. The scheme has covered pilot bases, in Assam, Bihar, Kerala, Maharashtra, Meghalaya, Tamil Nadu, Telangana, Uttar Pradesh, Uttarakhand, West Bengal, Delhi, and Puducherry. Furthermore, MSDE is undertaking entrepreneurship development in six holy cities: Puri (Odisha), Varanasi (Uttar Pradesh), Haridwar (Uttarakhand), Kollur (Karnataka), Pandharpur (Maharashtra), and Bodh Gaya (Bihar) (Ministry of Rural Development, 2022).

Market Promotion and Development Assistance Scheme (MPDA) is a cohesive arrangement that integrates multiple schemes undertaken by the Khadi industry, for example, marketing and marketing development assistance. In addition, grants and subsidies would be offered for the facility of Khadi plazas. The ultimate goal is to increase the incomes of artisans. Earlier, financial aid was apportioned between production entities (30%) and sales entities (45%); while the amended MPDA plan allocated production entities (40%) and artisans (40%).

Activity 2

Discuss various schemes initiated by the government to help rural entrepreneurs.

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12.6 ROLE OF WOMEN'S ENTREPRENEURSHIP IN RURAL INDIA

“Women are the largest untapped reservoir of talent in the World.”

- *Hillary Clinton*

Women constitute half of the total demography of the universe. Indeed, women's status might gauge socioeconomic advancements. In general, equality of opportunity can only be realized when women have the freedom to engage in economic progress. Yet, women entrepreneurs all around the world confront both personal and social challenges. Usually, women's contributions are associated with an improvement in their positions within the family or community. Women's empowerment has become a vital aspect of inclusive growth. Rather female labor force presence will benefit the nation's fiscal climate. Also, a female employer would naturally open the door for other female employees, or entrepreneurs.

In a nutshell, squalor is home to approximately 40% of the population. If a household hopes to continue to a decent living standard, the man's paycheck will be untenable. A woman, hence, is constantly establishing herself in a variety of disciplines, especially business, as participation in venture creation has grown at a rapid pace. A significant proportion of those who have built profitable businesses is thriving as brilliant and vibrant entrepreneurs.

Besides, they shape significant characteristics of the rural economy. While pursuing diverse businesses or activities, women can transcend captivity to individuality. They are increasingly turning to commercialization to alleviate their hardships. They are using their business abilities to become self-sufficient. Earlier, village women were mostly concerned with conventional domains. With professional development and supportive federal initiatives, they are springing up in modern enterprises as well.

This younger wave of women-owned corporations is proactively chasing finance or exploiting modern technology to carve out a place in both the national and international markets. Yet, it is critical to motivate, assist, and sustain individual endeavours in the proper orientation (Charantimath, 2019; p. 57). Since women entrepreneurs are actively involved, supporting them with constructive training in advanced fields would not only reduce their overall susceptibility but also serve their interests.

Case Studies

Saroja Patil from Nitturu village in Karnataka has explored organic items. In 2014, she enlisted a business under the name, Tadhvanam. The brand delivers distinctive foodstuffs including banana flour; papad with ragi, rice, jowar, pearl millets; vermicelli with rice, wheat ragi, and several other products. The businesswoman has pushed organic ingredients throughout different locations such as Mumbai, Ahmedabad, New Delhi, Chennai, and Karnataka. Furthermore, support the enfranchisement of women throughout Karnataka.

Source: Adopted from Nitnaware, H. (2022, February 3)

<https://www.thebetterindia.com/275099/first-woman-rural-entrepreneur-village-success-organic-ragi-rice-millets-farming/>

Ruma Devi, the rural-style diva and the recipient of the Jankidevi Bajaj Puraskar, is another fantastic example of prowess to defy the traditional block. She was born and raised in Rawsar, in the Barmer district of Rajasthan; experienced hard situations. She is an icon of hope for 22,000 women to become self-sufficient by empowering them with gainful duties. She may not wear lavish attire, but her clients include renowned designers worldwide who visit her to collaborate on Barmer patchwork as well as Kasidakari embroidery.

Source: Adopted from Patwa, P. (2020, March 9)

<https://www.entrepreneur.com/en-in/women-entrepreneur/meet-the-entrepreneur-who-has-revolutionized-the-lives-of/347326>

Acknowledging that women occupy an essential and crucial influence on India's prosperity, the government has also launched certain policy initiatives as well as incentives exclusively for women business owners. For example, the National Mission for Empowerment of Women, the Prime Minister's Rojgar Yojana (PMRY), Entrepreneurial Development Programmes (EDPs), Management Development Programmes, and Women's Development Corporations (WDCs).

The lacuna here, however, is a low level of attention to the provision of the policy or initiative. Therefore, there seems to be an urgent need to acquaint women owners across semi-urban or rural areas regarding the diverse government-led efforts that might bring appropriate assistance to fledgling firms.

Fundamental concerns affecting rural women entrepreneurs

- Women from the countryside knuckle under the weight of prejudicial inheritances, laws, and practices that stymie businesses. Even if the provisions are egalitarian, women are commonly ignorant of their rights as well as opportunities. Or else they are frightened of retribution from their family or community if they pursue their rights.
- Rural women entrepreneurs' aptitude could well be inhibited by pervasive low educational attainment and then by insufficient training, business acumen, and experience.

- Inadequate rural services and facilities, including water, power, and transportation severely constrains women's exposure to opportunities.
- Agrarian women's market growth is hampered by inaccessibility to banking and finance; very few banks are operating in rural parts of the country.
- Countless people in rural areas struggle with access to business development services. For decision-making and other professional support, women are generally supposed to depend on near and dear ones.
- Women-led businesses predominate in undervalued, small-stamped areas such as handmade, agro-based commodities within the shadow economy, with little or no statutory protection, no permanent skilled workforce, no trade association rights, along with insufficient support for employee welfare benefits.
- Women have restrictions on reaching either local or overseas markets to execute economic expansion, articulate better workplace arrangements, or secure self-sustaining lives.

The administration is mindful that the promotion of micro, medium, and small industries operated by rural people remains the ideal approach to boosting agrarian livelihoods. As a response, the government puts a full price on entrepreneurs' advancement in the rural economy.

12.7 SUMMARY

For a dynamic nation such as India, rural entrepreneurship has become the finest option for wealth creation. Rural entrepreneurship seems to be the panacea to rural dilemmas like employment, impoverishment, and migration. Entrepreneurship is a prudent approach in favour of livelihood opportunities in rural areas while improving overall income levels. Else undersized rural industrialisation would render challenges to the countryside population. So, rural entrepreneurship must be seen as a move toward national development. Wherein, holistic rural modernization strategies should be given considerable importance. Moreover, rural start-ups are capable of providing the route to woman empowerment from her disenchantment. Aiming at a brighter perspective, the government has initiated a dedicated institutional framework promoting innovation and entrepreneurship. To provide a comprehensive portfolio of projects and programs that will direct the core pillars of industrialization, namely labour, money, materials, machinery, management, and the market.

12.8 KEY WORDS

Entrepreneur: An individual who not only initiates a new line of business, assuming the risks but also reaping the major portion of the returns.

Rural entrepreneurship: It is a phenomenon wherein firms not only operate in rural parts of the country but leverage rural supply as raw material and hire rural residents in manufacturing techniques. In short, it's entrepreneurship

that brings worth to rural assets.

Financial inclusion: When individuals or corporations have accessibility to affordable financial services that suit their demands, offered in a timely and ethical manner.

Digital connectivity: Accessibility to faster and more reliable internet over wireless, wired, or satellite mechanisms has been defined as "digital connectedness."

GeM: It is an abbreviation for Government e-Marketplace. This is a digital channel that streamlines the procurement of goods and services by diverse state ministries or organizations.

12.9 SELF ASSESSMENT QUESTIONS

- 1) What do you understand by "rural entrepreneurship"? How can it help in economic development?
- 2) Discuss the various forms of rural entrepreneurship.
- 3) What are the benefits and drawbacks of becoming a rural entrepreneur?
- 4) Briefly explain the government's endeavours to facilitate rural entrepreneurship.
- 5) How can rural entrepreneurship help women's empowerment while highlighting specific challenges faced by them?

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UNIT 13 ETHICAL ENTREPRENEURSHIP

Objectives

After going through this unit, you should be able to:

- understand the meaning of ethical entrepreneurship
- identify different theories associated with ethical entrepreneurship
- understand the importance of ethics in entrepreneurial growth
- consider diverse economic sectors from an ethical standpoint

Structure

- 13.1 Introduction
- 13.2 About Ethics
- 13.3 Advantages and Disadvantages of Ethical Behaviour
- 13.4 Theories of Ethical Entrepreneurship
- 13.5 Ethical Dilemmas in Business Organizations
- 13.6 Integration of Ethics into various economic areas
- 13.7 Global Ethical Order
- 13.8 Summary
- 13.9 Keywords
- 13.10 Self-Assessment Questions
- 13.11 References / Further Readings

13.1 INTRODUCTION

The market experience of developing nations has demonstrated the importance of restructuring from a command economy to a social economy for economic excellence. At the micro level, a lot of literature makes connections between ethics and entrepreneurship and highlights ethical dilemmas that occur in entrepreneurialism and the way they affect the advancement of business. The workings of organizations and how ethical behavior influences them constitute a fascinating aspect; particularly for entrepreneurs who are keen on starting new projects. Profit, market position, and the promotion of diverse offerings and services are not the only goals of modern commerce. It does, however, have a wider and continually evolving frontier. Business owners must thus learn more about ethics and how to practice it righteously to survive in such a setting. Indeed, this unit addresses this issue and discusses how to deal with diverse industrial applications. Generally speaking, ethics is regarded to be concerned with the notion of universal welfare and also the elaboration of guidelines to assist societal gain. This brings up the concept of social responsibility, which holds that businesses should fulfil the requirements of the general public. The fields of business, ethics, and society are all connected and interdependent. As a result, an ethical framework extends to an entire world and lays the groundwork for how individuals conduct themselves in specific investment endeavours. The

entrepreneurial ethical code should be known, understood, and followed by all. By upholding these moral standards, entrepreneurs may see the value in their job.

13.2 ABOUT ETHICS

The Tanakh and Talmud, the holy writings of the Hebrews that were copied starting in 1200 BCE, include the first known codes of ethics. These books provide a moral foundation for people's historical development. Hindu literature, which dates back to 1000 BC, advocates ethics as a path to moksha, or freedom from the circle of rebirth. Many people contributed their theories even before Aristotle. The writer of the Nicomachean Ethics emphasized the necessity of putting that knowledge to use while laying out a useful plan. It is a manual for people trying to live virtuously. All of us understand that specific acts are never acceptable, such as purposefully inflicting harm on others or discriminating by age, race, sex, or nationality.

Generally, ethics is misunderstood by many. Its true applicability requires deep understanding. The term "ethical system" refers to a body of moral principles or ideals. Human attitudes are shaped by local customs and communal behaviors. Many socio-cultural or religious equations exert an imprint on human ethical perception. An individual's activities are motivated by exposure to knowledge and thoughts or the society in which they live. Even a set of cultural beliefs can sometimes be linked to "ethical behavior."

People generally associate ethics with the mere word "morality", but its horizons cover more areas. According to Wheeler, "Business ethics is an art and science for maintaining harmonious relationships with society, its various groups, and institutions, as well as recognizing the moral responsibility for the rightness and wrongness of business conduct" (as cited in Nghaka, 2019). People learn history to comprehend legal, intellectual, and societal advancements, much as they study various sorts of assumed and philosophical advancements. As well as customs, attitudes, and beliefs, how people present themselves, act, and engage now may alter substantially from what was deemed appropriate a century ago.

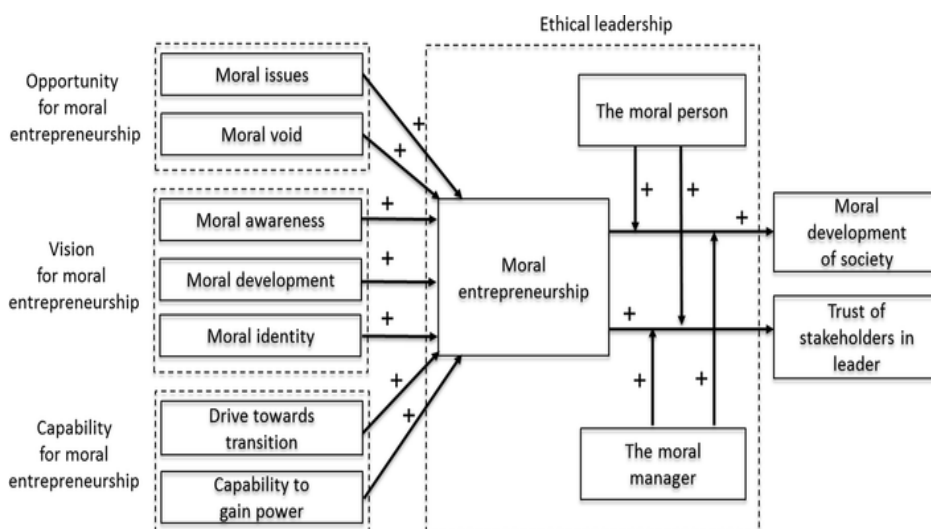


Figure 13.1: A model for moral entrepreneurs

Source: Adoted from Kaptein, M. (2019). The Moral Entrepreneur: A New Component of Ethical Leadership, p. 1142.

The example below demonstrates how emphasizing eight predecessors makes it possible to differentiate between morality & ethics and explains that morality is a component of ethics.

It's been very well clarified that ethics and morality are two different things. Ethics is somewhat related to good, bad, duties, and obligations. On the other hand, morality is related to the principle of right and wrong. While they are both derived from the Greek word, they have different meanings. Ethics is "ethos," meaning "character," whereas other means are "mos," meaning customs, which are generally attributed to a group of society. Norms of morality are expressed generally as rules and statements, whereas ethical norms are comparatively notional. Ethics are adopted or absorbed gradually by taking reasonable decisions by the nature of the situation. On the other hand, morals are adopted from the initiation of basic learning from childhood, from family surroundings, religion, culture, school, friends, etc. Ethics have a much wider scope that examines the moral standards of a group or society, whereas morals are just concerned about analyzing human needs for belonging and emulation. So the moral has limited scope.

There are some major sources of business ethics and which are as follows:

1. **Personal ethics:** These refer to the design of an ethical paradigm with personal beliefs, values, and morals, alongside native culture and religious practice. That affects the societal structure, business, and other areas of life in a sense, controls the mechanism by steering thoughts and actions.
2. **Organisation ethics:** In contrast, organizational culture drives individuals to prioritize the organization's requirements ahead of their self-interests. This usually incorporates historical development, rules governing structure, employee benefits, training, and a range of products. All these elements contribute to the foundation underpinning ethical behavior in the company.
3. **Other ethical sources:** Multiple direct and indirect pressures have an impact on the institution's standards of ethics. Customers, market pressures, governmental rules, and players with social expectations are among them. To address these, a healthy balance must be achieved.

Basic features of ethics are:

1. **Integrity:** People who work in the business world ought to be trustworthy in both their professional judgments and their commercial dealings.
2. **Objectivity:** Business people shouldn't let prejudice, dispute, or improper influence delay making professional decisions and fulfilling obligations. When formulating knowledgeable judgments and suggestions, personnel should keep their objectives in mind.
3. **Quality:** Businesses should be dedicated to providing services by combining their resources, expertise, and understanding of moral principles.

4. The goal of entrepreneurship should be to provide results that advance social and organizational growth.
5. **Competency:** Organizations should work to connect client needs with practitioners who may have the necessary skills. Creative thinking and innovation that enhance the value and effectiveness of commercial services have to be constantly cultivated.
6. **Professional behavior:** Entrepreneurship should adhere to all applicable legal requirements, rules, and norms. Entrepreneurs should promote a climate of proper professional skepticism and accountability since these traits are crucial for sustaining customer relationships and enhancing the calibre of the services a firm offers. Companies should be aware of the larger effects of their activities on society, their employees, and their clients. Additionally, they should care to uphold the public's faith in the work they accomplish.
7. **Fair business practice:** To guarantee healthy competition and a competitive climate, ethical business processes must be followed. Likewise, the corporation should adhere to the laws and regulations required for conducting business and for protecting all domains.

Activity 1

What do you understand by ethics in general and try to phrase it through real-life examples.

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13.3 ADVANTAGES AND DISADVANTAGES OF ETHICAL BEHAVIOUR

The process of doing business involves taking risks, foreseeing future possibilities, arranging finance, and engaging in various activities with profit-making potential. In a nutshell, an entrepreneur is someone who has the ability and willingness to take risks and create a structure through which he can implement his ideas in the real world. These involve innovation, the introduction of new ideas, or the destruction of old ones to explore new possibilities. To summarise, an entrepreneur is someone who has the determination and will to start a new venture or business and the ability to take risks. While connecting entrepreneurship and ethics, one could see how they both work together in the development of a person to identify the right business, which develops the right vision and develops society as a whole.

Through ethical entrepreneurship, people can learn how to create businesses that go beyond tried business models with acceptable product-market fit. Every inefficient, unproductive or inappropriate use of resources is

scrutinized and eliminated. Creating a culture that prohibits these behaviors is both financially prudent and necessary for brand management. To inspire groups of people working together to achieve predetermined goals, to improve the quality of life for future generations while also making a positive contribution to society.

Some of the most significant advantages include the following:

- Ethical behavior ensures that employees carry out their duties honestly. It outlines the right way to deal with the issue. This minimizes the likelihood of fraud, deception, or unethical business activities and ensures a level playing field.
- Ethics in the workplace are significant because they affect how individuals act. Ethics outline the proper course of action and establish boundaries for moral or immoral behavior. One may consider ethics as a set of principles to avoid making biases, thereby behaving responsibly.
- Business ethics assure entrepreneurs of both the veracity and quality of the services they provide. This will effectively prevent opportunistic behavior, black marketing, and hoarding. Maintain proper production and distribution control.
- Businesses may improve customer loyalty and brand reputation by putting ethical responsibility measures in place. A business may get benefits in terms of sales and profits by adhering to ethical standards.
- Ethical conduct can increase productivity and staff morale. The corporate group ensures that all stakeholders are fairly treated. E.g. Promote transparency in commercial transactions as well as put together correct business data.
- When corporate ethics are a guiding concept, employees make better and faster decisions. As they develop a healthy environment in the organization for decision-making purposes.
- The effectiveness of a company depends on relationships. Corporate ethics make sure that everyone gets equal treatment, regardless of class or gender. It guarantees a positive workplace environment by treating all equally. This means encouraging professional relationships even outside the workplace.
- In the long term, ethical leadership may mitigate industrial difficulties, moral and legal circumstances, and implications. It may also assist organizations in expanding their client base, yielding higher income. As and when employees act honestly and with integrity, the entire company benefits.

Some of the most significant disadvantages include the following:

- When working for an organization that values ethics, the objective is to put all stakeholders first. Unfortunately, as a result of the single-minded concentration on profit maximization shares of certain stakeholders are often jeopardized.

- The ethical entrepreneurship concept is not ideal for small organizations because they have limited resources and abilities. Implementing such a quintessential paradigm incurs additional costs for such businesses.
- The organization must spend a lot of time and effort planning and organizing the rollout of ethical practices as businesses also lack a methodical strategy that saves time.
- Business ethics are dynamic by nature. Its connotation depends on the individual, time, and context. Consequently, to keep up with it, a proper team that has been prepared for these kinds of developments is essential.

13.4 THEORIES OF ETHICAL ENTREPRENEURSHIP

Generally, the following major theories revolve around ethics and determine ethical behavior:

Utilitarian ethics – The utilitarian approach emphasizes communal welfare rather than individual welfare. Theory demands that one anticipate the repercussions and choose the action plan that could bring the maximum utility or the minimum amount of uselessness.

The ethically acceptable action, as per utilitarianism, is the one that will bring about the most beneficial outcome for individuals. Its application is dependent on making choices that are in the interests of the general public. For example, it is the value system that permits self-defence without using violence or starting a war. Since this takes into account rewards and risks, it is often the approach of rational thought in the enterprise. Yet, it also comes with some restrictions or boundaries. Firstly, it is challenging to accurately predict the future and determine whether the results of actions will be positive or negative. Secondly, it is difficult to strike a balance between assisting the majority and not upsetting the majority.

Normative theories – This philosophy seeks to establish moral benchmarks that distinguish appropriate from inappropriate behavior. It concentrates on a group of guiding principles or a group of admirable qualities, in a quest for the one universal standard by which we may measure all of our activities. Teleological, deontological, and virtue ethics views make up the three basic categories of normative ethics.

Deontology ethics – This approach confirmed that a deed's moral standing is independent of how it turns out. From this perspective, rational humans must scrupulously uphold their moral obligations, regardless of the result. It entails sacrificing the optimal result. This suggests that an intervention's moral worth isn't determined just by its outcomes, but rather by a distinct peculiarity that could be appropriate. This is probably the most effective paradigm of applied public relations ethics. However, this theory has several drawbacks, such as the possibility of conflict when performing duties. The fact that good decisions frequently have unfavorable outcomes and the fact those decision-making principles might give rise to disputes.

Virtue ethics – The focus of virtue ethics is on personal traits, which are often necessary for human development, rather than a checklist of obligations. The concept of virtue ethics was developed by Aristotle and other classical Greek thinkers. Understanding and living a morally pure life are goals we all strive towards. This persona of morality is predicated on the idea that individuals acquire virtue through experience. Through practicing qualities like honesty, courage, justice, charity, etc., one grows into an acceptable and righteous life. So, when confronted with ethical forces at work, only the preferred qualities must be used in making judgments. When people uphold virtue, they make the best decisions possible. There is still the possibility of contention while pursuing ethical values.

Teleological or Consequential Theories - Teleology derives its origin from the Greek terms telos, which implies "end," and logos, which implies "science." According to teleological ethical systems, moral essence is rooted in the effects of behavior instead of the behavior itself. It assesses the morality of each activity by its results. A decision is proper if it has positive results; a decision is improper if it has negative results. A common misconception is that good deeds produce good results but this is rarely true. Therefore, everything relies on the circumstance, and this can be one of its main flaws. Consequently, we must take into account an action's real or anticipated consequences while determining its morality.

Rule-based Theories - This theory emphasizes the nature of the act itself rather than its consequences to arrive at universal moral rights and wrongs. Moral rights served as the foundation for this type of thought by ensuring the existence of legal rights. This theory is given less weight than the consequential theory. This is due to the persuasive arguments of Scottish political economist Adam Smith. He believed that God's providence, rather than governments, guided human self-interest. Smith advanced the conventional case for free trade and open markets by proposing the concept of natural liberty. Within this framework, people should be free to act in their economic self-interest, and the market's inherent efficiency would promote societal well-being. But, contrary to Immanuel Kant stressed that people ought to be treated with respect and dignity and shouldn't be seen as a means to an end. He said that we should put ourselves in the other person's shoes and consider if we would choose the same course of action if we were in their shoes.

Cultural Theories - The concept emphasizes the importance of adhering to various cultural norms. According to cultural relativism, there are no universal ethical standards. People should not impose their ethical standards on others, and there are no universal ethical standards. Local standards should govern ethical behavior. This theory is based on the idea that when in Rome, do as the Romans do. Strict adherence to cultural relativism may cause people to avoid taking responsibility for their actions and steer clear of difficult moral quandaries.

13.5 ETHICAL DILEMMAS IN BUSINESS ORGANIZATIONS

An ethical dilemma is a state of confusion and misunderstanding about ethics. It generally arises when a person is stuck between two possibilities. Sometimes these issues cause major problems for which organizations must choose the best solution. Every person encounters such problems in professional, social, and personal situations. The fundamental problem with ethical quandary is that it lacks clarity in providing a clear picture. The problem can be solved through re-examining the issue again, careful analysis of the obtained circumstances, and selecting those options or choices that encourage the common good.

Key concerns in ethical entrepreneurship:

Corporate criminal behavior: i) Using company resources for personal gains, such as sending personal mail during working hours. ii) Inflating expenses is another unethical practice that people commonly indulge in. iii) The necessity for appropriate legislation to preserve privacy problems is the most fundamental concern in the current situation.

Distributive and procedural justice: There are two major problems that workers in corporations encounter. i) The appropriate mechanism for allocating resources is fundamental to procedural fairness. ii) While distributive conscience is what a person or employee receives.

Inapt conduct: Inappropriate treatment, be it verbal or emotional creates a hostile workplace for employees and may result in job stress, lower productivity, absenteeism, and so on. To stop these sorts of operations within their organizations, entrepreneurs must take serious measures.

Social responsibility: Companies have a responsibility to the community to improve it by investing in social causes like food, education, and the environment. A company should encourage doing public welfare activities and developing infrastructure to support society. Additionally, they are required to abstain from any actions that could cause environmental harm.

Legal responsibility: A start-up must take care to secure the necessary regulatory authorizations, licenses, and certificates from the relevant governmental bodies. When marketing, entrepreneurs should use prudence, particularly in the context of religious beliefs.

Commitment to consumers: Start-ups must respond to customer concerns and comments as well as refrain from taking any measures that could be detrimental to their interests. Firms should also not try to deceive clients by using third-party certification and markings. Well, happy clients are the only things that can help a business to exist.

Commitment to the employees: The start-up should treat employees' rights with morals and be compliant with the law. Additionally, employees should get regular payment of salaries and benefits and have a robust system in place for managing complaints to maintain healthy growth. Start-ups should work

to maintain their staff's motivation.

Activity 2

Where do you find a situation of ethical dilemma in your organization?
(Quote some examples)

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13.6 INTEGRATION OF ETHICS INTO VARIOUS ECONOMIC AREAS

Agriculture sector: Ethical concepts and tools confront a variety of issues in the food system. Their goal is to assist experts and others who are willing to engage in these issues in navigating the topic of ethics as applied to agriculture in the form of animal welfare, farm structure composition, food safety measures, environmental impacts, addressing the issue of hunger, and so on. In India, ITC initiated a ₹365.43-crore expenditure on SDG 1, which focuses on agriculture, and rural livelihoods. Cummins India Ltd spent ₹16.08 crores on CSR in 2020-2021. According to Starbucks' 2020 Global Social Impact Report, the company has made significant contributions to CSR by using only properly sourced coffee; developing a global network of farmers and providing them with 100 million trees to plant by 2025; pioneering green building in all of its stores; donating millions of hours to community service, and developing a ground-breaking program for its employees (Starbucks, 2021).

Tourism: Safeguarding the interests of customers using tourism services; protecting the nature and environment of tourist destinations; rights of tourists and residents; rights and obligations of tourists' authorities and professionals; ensuring green initiation in the hotel and tourism industry that adheres to good ethics conditions for the tourism industry while quoting the example of El Nido Resorts' four resorts in the Philippine archipelago of Palawan. These resorts were built with renewable indigenous materials that were integrated into the hotel architecture, such as repurposed wood from previous Filipino homes. When advanced sewage treatment facilities, solar panels, composting, and organic farms are on-site, groups will quickly realize they can gather guilt-free.

Telecommunication sector: Ethics takes into account a wide spectrum of dilemmas in technology. Major problems in this area include improper confidentiality and security, privacy concerns, spammers, unauthorized use of social networking and payments, and investment fraud. Since the telecom sector is growing dramatically, numerous problems can occur if ethics and norms are not applied. To prevent this, a suitable preventative strategy should be put into place and regularly checked.

Trade: A well-managed trade helps all. A sound plan for luring in a financially driven-by-moral principles project is needed to achieve sustainability. Entrepreneurs who conduct operations on a global scale are expected to follow all regulatory safety requirements, including environmental regulations.

It is also vital to sustaining management satisfaction. This will be ensured by motivating and addressing innovativeness. Improving corporate trust through strong connections and being honest in your processes is also important for upholding an ethical code. Increase income by introducing your business to fresh concepts that will provide employees with unrestricted environments without putting undue mental pressure on them.

Education: Education ethics are crucial because they support the system's efficiency. By defining acceptable and unacceptable behavior, the code of ethics serves to safeguard the interests of both teachers and students. The four fundamental principles of teaching are respect for human dignity, honesty, fairness, and individual freedom. All teaching is built on ethics, whether it is the teacher-student relationship, pluralism, or a teacher's relationship with their work. In India, a corporate social responsibility program was launched to assist 23 thousand of students during the COVID-19 pandemic by providing them with online classes. The amount spent in the period 2020–2021 was 20.92 crore, intending to achieve zero dropouts and improve school lessons.

Financial and banking: The banking sector is plagued by a variety of ethical problems, including a lack of adequate training, trust and openness, competition pressure, the complexity of financial operations, and the problem of money laundering. Banks can build their brand reputation by pursuing moral behavior. Customers that care about ethics are likely to be drawn in by the brand's reputation. As a result, their consumer base should grow and their revenue should rise. Additionally, the issue of non-performing loans will be considerably relieved for the banks.

13.7 GLOBAL ETHICAL ORDER

The world's ethics are launched on four core convictions: a fair and just system; honesty and acceptance; compassion and concern for life; and unity and equitable treatment. The way business ethics are applied internationally is influenced by regional views. The values attached to particular ethical acts vary depending on the culture. Experts may encounter unexpected difficulties when putting ethical ideas into practice or when dealing with diverse cultures at home or overseas. These difficulties will undoubtedly necessitate expertise, insight, flexibility, and unique problem-solving to function professionally in the larger context of a host culture. All agents are impacted by their experiences, peer interaction, and values. It influences the way individuals interpret a situation or the behavior that ensues when all of these factors are taken into consideration. For instance, bribery is indeed prevalent in many countries and even though some people may not agree with it, others nevertheless accept it as a natural facet of daily life.

Clients lately, both locally and globally, demand that businesses exhibit ethical accountability in their mission, beliefs, and pursuits. They also cause ecological problems. Successful organizations also emphasize diversification in their worldwide corporate strategy, across product, labor, and information sources into organizational philanthropy. Many of these issues are associated with corporate social responsibility. In certain instances, a company's ethical reputation surpasses its financial success.

Amongst others, India's distinct ethical business infrastructure is becoming increasingly important as it emerges as a major global economic partner. The Start-Up India Government Initiatives established the National Skill Development Agency, National Skill Development Corporation, National Skill Development Fund, and 33 Sector Skill Councils to develop powerful talents that can support an ethical foundation in organizations.

Indeed the significant rise of foreign markets has prompted a greater need for trained personnel who are conversant with worldwide markets, business processes, cultural concerns, and ethical challenges in a global firm. Nowadays, companies are beginning to realize that the worldwide economic and financial crisis has an impact on fundamental ethical values and principles as well.

Kofi Annan, the secretary-general of the UN, launched the UN-Global Compact in 1999 as a global campaign promoting ethical corporate conduct. It consists of upholding and respecting human rights, and workplace standards, and protecting the environment. To ensure justice it is everyone's responsibility to behave properly in a moral setting. In fact, after the Worldwide Charter for Fair International Commerce's official launch, over 150 members representing 40 countries have publicly committed to advancing ethical business practices throughout the globe, according to the International Business Standards Organization (IBSO).

International standards serve as the basis of the human rights strategy:

- UN (United Nations) Guiding Principles on Business and Human Rights
- Core Conventions of the ILO (International Labor Organization)
- ILO Declaration on Fundamental Principles and Rights at Work
- UN Universal Declaration of Human Rights.

Moreover, under Article 20 of the GATT (General Agreement on Tariff and Trade), countries are allowed to intervene in trade to safeguard the existence of people, plants, and animals as long as authorities do so free of discrimination or in a way that masquerades as protectionist. Later, WTO (World Trade Organization) agreements intervene in the health, and safe food, plant and animal health, plus products in general. Both seek ways to meet the standards while avoiding protectionism. Besides, WTO affirmed its support for the widely accepted fundamental labor standards of the ILO. The WTO also emphasized the use of labor legislation and its stance of economic growth by more trade and further trade liberalization serve such values. When a state follows guidelines, it won't face legal challenges at the WTO compared to if it pursues its regulations.

13.8 SUMMARY

A foundation built on values is essential for social standing. Professional ethics are closely connected to entrepreneurial competence. These ideals will see all stakeholders receive significant assets. A social attitude enables entrepreneurs to benefit humanity. Secondly, it outlaws any behavior that gives preference to one party over the other. Accordingly, ethical values assist the entrepreneur in remaining conscious. This guarantees that the company owner won't react hastily while making judgments. The basic concept of this chapter is that entrepreneurship occupies a social role attributable to ethical standards. Indeed the social attitude of an entrepreneur affects their long-term picture. This is because when people see an entrepreneur as a servant rather than an exploiter and will be no longer keen on immediate earnings. They devote themselves to business and give preferential treatment. Certainly stakeholder confidence can be reinforced by an ethical commitment.

Through ethical entrepreneurship, people can learn how to create businesses that go beyond tried business models with acceptable product-market fit. Every inefficient, unproductive or inappropriate use of resources can be scrutinized and eliminated. Businesses that care about society may recognize where they fit in the overall picture. On the whole, an ethical value guarantees that business becomes a legitimate engine of national development. For a morally competent organization judgment based on a national perspective might simplify the odds for generosity rather than financial motivation. Provided, humanitarian leadership ideas lead to genuine wealth and peace for the country and the world as a whole.

Furthermore, the values related to specific ethical behavior differ based on social structure. Professionals may face challenges when putting ethical concepts into practice or coping with different ethnicities at home or abroad. To perform efficiently in the context of a host culture, one will surely need skill, insight, adaptability, and creative problem-solving to overcome these challenges. Therefore, the advancement of entrepreneurial ethics must continue, with an emphasis on developing new managerial paradigms; a hub that may link different disciplines. Here, the focus is on creating a framework that may be operationalized through interaction with people, the development of consciousness, or the use of instructional methodologies.

13.9 KEY WORDS

Business ethics: The study of proper company conduct when it comes to potentially contentious issues involving financial reporting, securities fraud, abuse of power, discrimination, societal and legal responsibilities, and a lot more.

Consequentialism: An ethical philosophy that determines whether an act is right or wrong depending on its effects. Lying is unacceptable. However, consequentialism holds that it is morally desirable to tell a lie if doing so will assist someone's life.

Utilitarianism: It's a variant of consequentialism. As per utilitarianism, a decision is ethical if it provides the maximum benefits to the majority of people.

Deontology: It entails that individuals follow the guidelines and perform their duties. It does not mandate considering the expenses or rewards of an event. Avoid bias and ambiguous decisions, as only specified norms must be followed.

13.10 SELF ASSESSMENT QUESTIONS

- 1) What does a "business ethic" mean? Discuss the role of ethics in corporate structures.
- 2) Write a short note on the major ethical theories.
- 3) Discuss the significant benefits and drawbacks of ethical behavior.
- 4) Outline ways in which entrepreneurs might build ventures that innovate and break with traditional business paradigms.
- 5) Highlight the global ethical arrangement.

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UNIT 14 CULTURAL GOVERNANCE AND FAMILY BUSINESS

Objectives

After going through the unit, you should be able to:

- discuss the development of family-based enterprises in India;
- highlight the dynamics of functioning of family-based enterprises;
- comment upon the typical strengths and weaknesses of family-based enterprises; and
- discuss issues involved in the professionalization of family business.

Structure

- 14.1 Introduction
- 14.2 Family Businesses in India
- 14.3 Family Business Defined
- 14.4 Theories of Family Business
- 14.5 Family Control
- 14.6 Culture in Family Business
- 14.7 Viability of Family Business
- 14.8 Family Management Practices
- 14.9 Issues and Problems in Family Business
- 14.10 Coping Strategies
- 14.11 Contemporary Role Models in Indian Family Business
- 14.12 Summary
- 14.13 Keywords
- 14.14 Self-Assessment Questions
- 14.15 References/Further Readings

14.1 INTRODUCTION

An entrepreneur and a manager need to fully understand ‘business’, ‘management’, and ‘entrepreneurship’, in order to successfully step into today’s business world. An understanding of dynamism of these aspects would be incomplete if they are not studied in the context of family or a group of family running business enterprises.

Indian industry is largely dominated by family-owned enterprises, they account for significant proportion in all spheres of socio-economic and political life of the country. Family-owned enterprises have always been a matter of great curiosity as they distinctively different from other forms of business enterprises (e.g., public sector, joint sector, cooperatives, etc.) in terms of their entrepreneurial, organizational & managerial behaviour and

styles. This is because their behaviour & styles are subject to the forces arising out of the emotions of family members, personal & interpersonal pressures of relatives of owners, and conflicting interests & values of family. The uniqueness of these aspects leads a business firm to exhibit a unique set of operational characteristics and face a unique set of issue and problems.

14.2 FAMILY BUSINESSES IN INDIA

Evolution

Historically, all capitalist economies became a birth place for family businesses. The right of possession of private property and its inheritance has been a major factor in encouraging the family business sector in India. The origin of family businesses coincides with the evolution of entrepreneurial firms. In the beginning, a few families were engaged in money-lending which led them to accumulate handsome capital. These families slowly moved into commercial activities and craft industries in order to profitably channelize their resources.

In the early nineteenth century, the industrial revolution called for speedy industrial development with greater emphasis on the modernization of the production units. This event came as major breakthrough for a large number of families. They promoted, built and expanded all types of industries which the British Government of India encouraged. It is in this context that family businesses are considered the sine qua non of industrial development in the early days of industrialization of the country.

The industrial enterprises were the result of joint family effort (capital) and therefore family control continued in the form of ownership and management. The family, therefore, became a unit of ownership, control and management of the firm. To exercise this, in the beginning they adopted the managing agency system which was started by Britishers. The system was in line with the need of joint family and became a prominent feature of the Indian social structure. Several commercial and industrial enterprises were run by the managing agency system as a body of decision-making. The managing agency system continued till 1970 as an instrument of maintaining family control over business enterprises.

The Competition Act, 2002 indicates that family business has come to occupy a significant place in Indian industry. Keeping in view the economic development of the country the act provides the following:

- Establishment of a commission to prevent practices having adverse effect on competition
- Promote and sustain competition in markets
- Protect the interests of consumers
- Ensures freedom of trade carried on by other participants in markets in India.
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14.3 FAMILY BUSINESS DEFINED

Various terms like ‘family owned’, ‘family controlled’ or ‘family managed’ are used to refer to family business. Terms like ‘business houses’ and ‘industrial houses’ are also used in the same context when a family is owning, controlling or managing a number of business enterprises. The central concern in using these different terms is the involvement of a family or a group of family in business enterprises in one way or the other.

Traditionally, a family business was defined as ‘an enterprise in which a family or a group of families has invested a major share of capital’. This definition has not been found satisfactory as it did not clearly bring out the aspects like ownership, control and management of a firm.

Donnelley (1964) has defined family firm as ‘one which has been closely identified with at least two generations of a family and when this link has had a mutual influence on company policies and on the interests & objectives of the family’.

Davis (1983) has given an elaborative definition of family business, “Family businesses are those where policy and direction are subject to significant influence by one or more family units. This influence is exercised through ownership and sometimes through the participation of family members in management. It is the interaction between two sets of organisations, family and business, that establishes the basic character of the family business and define its uniqueness”. All the three definitions given above indicate the following characteristics of family business:

- i) A group of people belonging to one or more families in one enterprise.
- ii) Family exercise the influence on the firm’s policy direction in the mutual interest of family and business.
- iii) Family control can be seen in the form of ownership or in the form of management of the firm where family members are employed on key positions.
- iv) The succession of family business goes to the next generation.

In essence, family business is one which is substantially controlled and/or managed by members of family and is succeeded by the next generation.

Activity 1

- a) Take a survey of the small enterprises in your area/locality. How many of these are family-owned enterprises. Do these enterprises fall into the category of family businesses as described by Davis.
- b) What are the characteristics of these family-based businesses which set them apart from non-family-based business.

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14.4 THEORIES OF FAMILY BUSINESS

Time and again various experts have tried to study the characteristics and operations of family businesses and in the process various theories have been evolved. Let us now discuss few predominant theoretical perspectives and approaches of family business.

Systems Theory

It focuses on viewing the world in terms of the interrelationships of objects with one another. We are accustomed to the idea of a business acting as a system, which may be seen as open or closed. The family, equally, is a system in its own right. Indeed, family systems theory looks at the family as a whole, usually envisaging it as a relatively closed set of interactions between individual members. When a family owns and runs a business, however, an open systems view of family and business tends to predominate, emphasizing the interaction of the family with the business. This interaction is represented by the overlap between two circles.

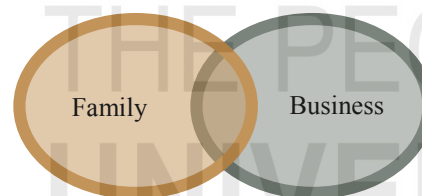


Figure 14.1: ‘Dual System’ (family + business) Approach

Source: Adopted from Barrett, M. (2014). Theories to define and understand family firms. p.168.

This ‘dual system’ (family + business) approach to family enterprise has been criticized on several grounds, including its neglect of other influential subsystems. These criticisms led to the development of multi-system models where ownership was added to ‘family’ and ‘business’. The revised model incorporates three overlapping circles. One circle represents the family as before, but the second circle has become two: the first representing owners of shares in the firm, the other representing firm management.

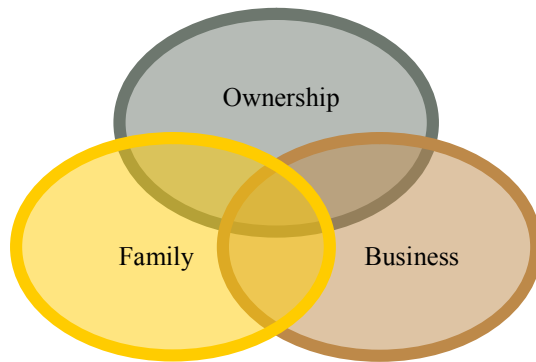


Figure 14.2: Multi-system Approach

Source: Adopted from Barrett, M. (2014). Theories to define and understand family firms. p.169.

Agency Theory

The introduction of the ownership circle raises the issue of agency theory, it points to inbuilt conflicts of interest between the owners and the managers of a firm. In a family firm, owners and managers are members of the same family, so it is sometimes argued that there are no agency problems in family firms, and that a stewardship model (explained later in the unit), which stresses the way firm owners see themselves as holding the firm in trust for future generations, is more appropriate. More recently, however, a special form of the agency problem in family firms has been pointed out. For example, a spirit of misplaced altruism may lead the owners to appoint family members to positions for which they are less qualified than an available outsider. Such actions, while helping a family member, reduce firm performance.

Other Theories

With the help of systems and agency perspectives, other theories have also been given by various experts. Let us quickly discuss few of the theories:

Resource Based Theory

Resource based theory believes that since the ownership of key assets of the firm is vested with the owners, there can be optimum utilization of the assets and performance. A family business firm can thus enjoy advantage over its competitors who are non-family business firms. This theory explains that family business firms have certain inbuilt and intrinsic characteristics which are passed on through generations after generations. This equips the family firm's owners- managers with unique resources and capabilities which other non family firms may not have.

Stewardship Theory

This theory says that the principal (owners) and agent (managers) of family firms have collaborative relationship and their goals are also converging. Principals or leaders/owners focus on the long-term success & growth of the company and so do their agents as their success also lies with the success of the company. Employees/managers being from the same family with different generations are highly committed towards the growth and development of the firm. They have high stewardship (a sense of care takers) as they want to maintain the legacy of their past generations and provide better to their coming generations more effectively and gracefully. Employees being from the same family have emotional attachment to the firm and they give their best for the firm's betterment. Therefore, family firms show high stewardship conduct.

Stakeholder Theory

People having interest in the firm in some way or the other are called its stakeholders. Hence, all the shareholders, employees, society/community, family members, suppliers and customers are the stakeholders of the company. In case of family business firms, the stakeholders are by and large from within the family who are the investors (as they have invested their funds), owners (as they are the major shareholders) and also the employees of the firm. The stakeholders outside the family relations largely are suppliers and customers. In all the business firms all across, irrespective of family or non-family firms, interest of stakeholders should be balanced. Since many stakeholders are from the family, they should focus on serving interest of other stakeholders who are non-family members.

14.5 FAMILY CONTROL

In the case of proprietorship and partnership, family control is exercised by the direct participation of family members in ownership and management of the firm. In the corporate sector, forms and means of control are variedly applied by families. Three types of control are possible. In the corporate sector, these are: ownership, operation and management. **Ownership control** is normal held by holding a sizeable block of equity. This form of control represents the voting power of family members. This form of control is a necessary condition to exercise the other two forms of control, i.e., operational control and management. **Operational control** is said to have taken place when all key positions at different levels are manned by family members. Under this control family members have decisive power and if professionals are hired, they merely give advice to family members. **Management control** is exercised through board of directors where family members are represented. The family members as directors determine the corporate objectives and major policies of the firm. A firm may be subject to one or all the three types of control.

In some cases, power of control is gained on the basis of family reputation. The shareholders entrust the power of control to a particular family, mostly known as business house or industrial house. In such a case, the family or

business need not hold a majority of shares. Different means are used to gain control over existing business such as interlocking of board of directors or inter-corporate investment or purchasing the controlling block of shareholding in open market.

Activity 2

With respect to the enterprises, you selected for Activity 1, describe the ways in which family control is exercised in these enterprises.

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14.6 CULTURE IN FAMILY BUSINESS

Family businesses are known for their strong, distinctive cultures — cultures that are often heavily influenced by the vision, style and values of the founder and carefully maintained through the generations. These cultures bind employees to a common cause and foster loyal and stable workforces. If managed well, a strong culture can prove to be a major competitive advantage for a family business seeking to attract and retain the best talent in order to achieve sustainable long-term goals. Despite the fact that your company's culture may not immediately spring to mind as a crucial competitive advantage, current studies on the family business culture reveal a strong link between better financial performance and outstanding corporate culture.

IKEA is the perfect example; it is a Swedish family owned and operated enterprise in the home furnishings retail space. Broadly known as the world leader for designing, manufacturing and selling modernly designed and cheap functional furniture, first generation founder Ingvar Kamprad originally started out as a “one-man mail” company in 1943. Today, the firm counts approximately 70,000 coworkers and realizes more than \$33 billion turnover through 392 stores and 30 franchises spread throughout 38 countries with more than 657 million customers, and the website IKEA.com saw more than 4.3 billion visits in FY21.

Ingvar Kamprad’s personality had a major influence in shaping the company’s organizational culture, which is informed by his core values of cost-consciousness, simplicity and efficiency. These values have also tangibly translated into IKEA’s recipe for success: selling good-quality practical furniture at cheap prices. The multinational founder nourished the company’s commitment to cost saving long before he first introduced the self-assembling IKEA-way.

In fact, IKEA’s ex-CEO, Mikael Ohlsson, had this to say about the strong cultural influence of the company’s founder: “If we share the same values

and the same vision, we can put more trust in employees of the organization; we can have a very flat and unbureaucratic organization. We always recruit through values and we spend an enormous effort in strengthening the values: Togetherness, Down-to-earth and Hardworking.”

Family enterprises are often led and stewarded by family members who are guided by values that were ingrained in the day-to-day operations of the business by the founder, and have transcended generations of owners. Those values often garner loyalty from family and non-family who are strongly connected to the legacy of the business. The longevity of those values also helps sustain idiosyncrasies that support a unique culture-perhaps an entrepreneurial and pragmatic culture that embodies priorities beyond profitability such as employees, the community and the environment. Ironically, research has shown that family companies with a broader focus than just on profits are more profitable.

What’s interesting about culture is that on some levels one can observe it and possibly describe it. Yet it is impossible to imitate, primarily due to its complexity. This makes culture unique, like a fingerprint. A strong culture emerges in family businesses from the permanent prints left by the founder, but also from the adherence to core principles that have guided the family, often for many generations.

14.7 VIABILITY OF FAMILY BUSINESS

Family business is the most traditional form of business enterprises. Despite the development of various other forms of enterprises, the family form of business enterprise still dominates. Those who are advocates of professional management argue that the traditional family values of enterprise stability often clash with changing economic goals of sustained investment and growth. Let us discuss the positive and negative sides of family business.

Negative Side

The intervention of family in the management of the firm is often considered unhealthy and unprofessional. This affects the organizational efficiency and performance in many respects. Some of the commonly occurring negative effects are discussed here.

- **Nepotism** is one of the marked features of family business enterprises. The blood relationship determines the entry into the business and holding of key positions. Merit becomes secondary and even an insignificant criterion for promotion. This affects the loyalty and commitment of hired professionals. The inefficiency of relative-employee is often covered up by the efficient performance of non-relative employees. This ultimately make the total functioning of organization inefficient.
- **Overlap between business and family goals** is another feature of family business. Logically, the goal of the enterprise is oriented to fulfill the interest and achievement of the family. This, many a time contradicts the survival and growth goals of the firm. Family members very often pursue their personal goals at the cost of sacrificing growth opportunities

of the firm. This threatens the long-term survival of the firm.

- **Family rigidity** is the third feature which imposes poor profit discipline. Family members very often prioritize certain aspects of firm's functioning on the basis of family value or family decision. For example, family value is to create a good social image which requires giving employment to needy people which may affect the profits of the firm. Many times, family members unduly support their pet projects, no matter how profitable they are.

Positive Side

Family, which is considered obstructive to the business performance is also considered a major source of strength and support in many aspects. Some of the advantages of family business are discussed here.

The basic premise on which family business rests is its **stability and continuity** which are linked from one generation to another. The long-term interest of family members in the business often provides the sentiments of family solidarity and natural loyalty. Family members work with each other with greater team spirit to attain a common goal. They make personal sacrifices by taking minimum dividends from the firm and bringing in personal financial resources in the time of financial crises. Many times, business gets greater priorities under their personal needs. Loyalty and dedication of family members have been responsible for continued operation during the period of hardship.

The **image and social reputation** of family become the goodwill of the firm. It helps in establishing trust and credibility in the market. Bankers and suppliers feel comfortable in dealing with such family-owned enterprises because of their good image and reputation.

Since stockholders and managers of the firm work unitedly, managers are less sensitive to the criticism based on short term performance. They enjoy a great amount of **freedom and flexibility** in concentrating on long-term objectives of the firm. This is possible only in family business as both stockholders and managers have mutual understanding and trust.

There are other conditions in which the choice of the family form of enterprise becomes almost essential. Entrepreneurs who have worked very hard throughout their life to build the business empire very often desire that the fruits of their hard-work must go to their families. At the same time, they have many obligations towards the family as they derived the initial capital and emotional support from the family. Therefore, new enterprises adopt the family business form to satisfy family needs.

During the transition period, the founder needs trustworthy people to take care of sensitive operations as he finds it difficult to manage the business alone. S/he looks for family members and relatives as a source of strength to fill the transitional gap. Small firms cannot afford to hire professionals and therefore, they start taking family members and relatives to provide support in the growing business. The legislative environment has also been indirectly

a binding force on the founders to adopt family business to enjoy certain benefits.

The foregoing discussion highlighted advantages and disadvantages of the family business system. It has also been made clear that under certain conditions, the family form of business become almost essential. As against the family business, the professional management system is being advocated. The professional management system helps transform the proprietary firm into a modern corporation in which family ownership and control are separated. It has been thought that the continuity of family business can be ensured only through professionalization due to increasing complexity in the environment. The advocates of professionalization observe that family business, because of its inherent weaknesses like nepotism, favoritism, rigidity and conservative policies, is likely to be vulnerable in the long-run.

Professionalization is certainly a need of the time to ensure stability and continuity of the family business in the long-run. However, the professional management practices are not fully fool-proof in many respects. Firstly, nepotism and favoritism are also found in professionally managed companies where it is based on caste, community, regions, etc. In fact, many decisions of promotions are considered on the basis of these factors ignoring merit. Professional managers are often criticized for its lack of entrepreneurial initiative which hamper the growth potential of the business. Their commitment and loyalty to the business is also doubtful as they do not have any stake in the enterprise. In fact, the so-called professional managers have yet to prove professional excellence to create an image and goodwill. Moreover, the supply of professional managers is not adequate in the developing countries especially in country like India.

Despite a few weaknesses of family business, it seems family business is still a useful system to achieve pace in industrial development. The unique supply of entrepreneurial and managerial resources from the business family has been responsible for the large-scale success of business house of the country. Family businesses have continued to be viable even in the present context because of its ability to respond quickly to the changing needs of business by making drastic internal adjustments.

14.8 FAMILY MANAGEMENT PRACTICES

To get acquainted with the family business, it is necessary to learn some of the commonly employed management practices in family business. An attempt is made to describe the choices of management control that are available to the founder, internal work environment, organizational structure and delegation.

Management Control Mechanism: Choices

The family business consists of two systems: family and task systems. The task system is subject to the influence of the family system. The task system is determined on the basis of norms, values and principles of family and its members. The family has different options through which it can control and

manage the task system. These are as follows:

- i) In the first case, the founder may decide to exercise direct control on the management of the firm. Under the direct control systems, family members are given a certain number of shares with the assurance of power of voting by family members. All important decisions are taken by the founder which is binding on the other members of the family.
- ii) Another choice the founder has is to dilute his authority of direct control by consulting a few selected family members before taking important decisions. Certain areas are clearly defined where approval of the family members is needed. For example, any decision concerning capital investment needs the approval of family members.
- iii) The founder uses professionals to carry out the management function, The founder clearly defines the boundaries between business and family decisions. Family members are assured of ownership control while business related decisions are taken by different heads of business.
- iv) The founder may decide to place the firm under the full control of the family. Family members are involved in the early stages of enterprise development at different levels to take charge of various management functions.

Internal Environment

Family business consists of two sets of individuals: family members and non-family members. The sentiment system of the family system is at its core and made up of those individuals who are bound by emotions and loyalty. The non-family members are subject to the rules made by the family owning the enterprise.

The general feature of the family business is that the top man is surrounded by a loyal cadre of top-management personnel who are 'highly trusted individuals and are with the enterprise from beginning. They have normally grown with the firm and exhibit intense feeling of permanent relationship with the founder. The forces of traditions, kinship, caste and religion support the integrity of the family business. Relatives of the family members are hired and placed on key positions of the firm. They get fitted in the internal environment of the firm more easily than non-relative employees. The relatives have free access to the top man no matter at what level he is, while non-employees have to strictly adhere to the formal channel.

Decisions are taken by the family members and the power to take decisions is normally centralized at the top. Professionals are hired to give technical advice and they do not possess any decision-making power.

Since relation is considered as one of the basic criteria for selecting people for top and middle levels, non-relative employees at junior levels suspect the authority of those who are at the top and feel that they do not deserve it by competence. They often complain that it is difficult for them to work productively with the non-competent family members/relatives. Competition among family members/relatives, non-relative employees normally lead to

subtle rivalries amongst them. This creates a climate of poor interpersonal relations and politics.

Objectives and policy direction of family business are oriented towards the goals of the family. Therefore, the internal environment of family business is created to reinforce and perpetuate family pride and tradition.

Organizational Structure and Delegation

Normally, the organizational structure of family business is hierarchical and decision-making authority is centralized at the top. The organization is structured on the functional basis: Functional Specialists and managers at intermediate level are often between top men and workers. In practice, the hierarchical system reduces to one-man show. As a result, formalizations are kept to a minimum. It is very often observed that no written documents are kept which details out rules & regulations and operating instructions of the organization. Job descriptions and organizational charts are rarely available. The family business also avoids standardization as no specific policies are clearly stated.

In such organizations, delegation of power does not really take place in a formal sense. Functional specialists play the role of advisors while managers at intermediate level do not really exist in practice. They are communicated of decisions for which they are responsible for implementation. However, they have no power to take decisions. Very often, family business organizations have a large span of control as almost everyone except workers keep reporting to the top man. To sum up, organization and management in family business are based on personalized modes rather than professional modes.

14.9 ISSUES AND PROBLEMS IN FAMILY BUSINESS

Family businesses are often criticized for their lack of professionalism in dealing with environmental complexities more efficiently. Intervention of family in the business affects business-like responses to various situations of opportunities and threats. As a result, more and more family businesses are getting into trouble. In the past, these problems have led even the most successful enterprises into severe problems causing sometimes to the collapse of business enterprises. Some of these issues and problems are discussed here:

Business vs. Family

Family businesses very often face this unique dilemma to make choice of alternatives that is best for the **business against the family norms**. Given this choice, decisions are very often made in the interest of the family and not business. Values, norms and principles of the family are incongruent with that of business. This leads the family business to operate under the normative ambiguity. Human resources and growth opportunities are adversely affected due to this conflict. With regard to human resources, family management due to its obligation towards the family select, promote

and compensate, its family members and relatives considering the relation as a major criterion. **Compensation** is determined on the basis of the position of the relatives in the family and their needs whereas the business norm is to compensate according to one's merit and competence. Even in the case of appraisal, family members are appraised on the basis of their standing in the family.

Training and development of employees is done as per the needs of the organization. But, in family business, it is often done on the basis of need of the family members for their own development.

Because of certain family norms or principles, a number of **growth opportunities are lost**. Family principle is not to have outsiders meddling in family affairs. When the growth opportunities need raising of extra capital through equity financing, the family may decide not to go for equity financing as it means loss of freedom of family in the business. Such sacrifices in the interests of family may weaken the organization and make it more inefficient which in turn threatens survival.

Rivalry among Relatives

A number of family members of varying age and relationship participate in the family business. They often clash with each other because of conflict of interests. This causes the breakdown of communication and creates barrier to organizational integrity.

The founder's relatives occupy top positions in the family business. The rivalry starts right from **father to son** and spreads soon among brothers and other relatives. The father-entrepreneur normally considers his business as an extension of himself and only source of power. Despite his being consciously aware of the need to groom his son to ultimately take over the business, he never gets down to delegate the authority to his son. S/he does not even share necessary information with him nor consult him while making important decisions. He very often presumes his son to continue to follow traditional styles of management and resist any change in the organization initiated by his/her son. The son, on the other hand, feels confused when he gets to know a number of decisions already implemented by his father contradicting his future plans. S/he feels that he is not fully equipped with required level of authority to bring in changes in the organization. He starts feeling that his father is too protective and does not trust his ability. This rivalry often leads to infighting within the organization.

The **brother-to-brother rivalry** is equally intense in family businesses. The rivalry is caused due to their anxiety to prove their mantle better than the other. Competition with each other often amounts to pull each other down at the cost of the organizational resources. The rivalry further gets complicated when other members of the family directly or indirectly favor one of them. This further leads to the complication as one of them carries the feeling of unjust and undue favoritism. Under such circumstances, a few family members can even take actions which may lead the firm into disaster.

Rivalry among relatives often leads to factional decisions that spring up in the organization as the non-relative family starts choosing family members with whom they want to be identified.

Such rivalries are the peculiar phenomenon which obviously arise owing to clashes of interests and ego. The organization becomes directionless. Even the founder becomes helpless to resolve such conflicts as every member tries to defend his/her action. Slowly the business moves towards instability and finally becomes sick.

Problem of Continuity

Every family business has to face the problem of continuity or succession when the original founder retires or dies. There has to be someone to take the charge of the business to ensure continued inheritance to the next generation. It has been noted that even the most successful business firms have suffered a setback due to improper succession or non-availability of competent successors. In the U.S., it is estimated that only 30% family-owned enterprises continue to exist in the second generation and only 15% in the third.

Unfortunately, the founder has almost **no choice in the selection of the successors**. The successors are selected on the basis of blood relationship no matter how competent the successor is in running the business. In fact, in most of the cases, the prospective successor is ignorant of business experiences and does not possess entrepreneurial abilities. Further, the inexperienced successors often start from the top and therefore remain unaware of dynamics at lower and middle levels.

The outgoing entrepreneur generally tries to groom his/her successor through informal on the job training. Such training has limited benefit to successor as the process of learning is unsystematic and inconsistent owing to the protective nature of the entrepreneur.

Many a time, **succession is unplanned** and therefore, in the event of death or early retiring of the founder, the eligible successor is chosen to run the business. In such conditions, the successor is not psychologically prepared to take the charge of the business. A few family members or relatives take undue advantage of the situation and try to mislead or misguide the eligible successor.

Apart from the problem of the choice of successor, the process of succession itself is complex. The founder considers the enterprise as his own 'baby'. Despite his awareness of the need of handing over the charge to the next generation, he keeps hanging on to it. Even after his/her son being in the business, he does not delegate the power and continues to take important decisions. As a result, the son feels overshadowed and frustrated. The successor and the founder continue to resist each other's actions on matter concerning any change.

In the case of the second or third generation successors, when there is more than one eligible successor in the family, the distribution of assets and

activities of business becomes difficult. It often results in split. If not efficiently handled the business get paralyzed for want of proper settlement.

The **successors often lack credibility** in the organization as blood relation has been the sole criterion. Employees often resist their authority. Efficient and loyal employees feel threatened and therefore, start quitting the enterprise. Suppliers and bankers might also withdraw owing to unstable situations created by the takeover by the newcomer. Because of the peculiar problem of succession, even the most successful business has suffered serious setbacks.

Professionalization in Family Business

It is argued that the family business system is desirable at the stage of enterprise initiation and survival. But when the business starts growing, it is desirable to replace family management with professional management. The **traditional value-oriented family management may clash with economic goals of growth**. In the wake of increased competition and complexity, the traditional organizational structure and decision-making system is more vulnerable. Family businesses very often are not adaptable to the requirements of modern industry and technological changes. Need of growth and modernization call for adoption of professional management in family business.

Professional management consists of a team of managers whose primary occupation is providing management service without having any substantial ownership stake. Professional managers are hired for their expertise. A team of professional managers performs the function of entrepreneurship and management of the firm. The team holds key position in the firm on the basis of technical competence. Professional management is expected to achieve excellence in building a human, physical & financial resources, and capture new opportunities of growth with professional approach through research and development.

Looking into the need for professional skills to cope with growth, every family business has to consider whether to adopt professional management or not. The family managers often resist this alternative on the ground that family will have no control over the management to protect its interests. They will not be able to help their relatives by way of providing jobs in the business. The family wants to maintain its own image in society by way of following certain socially desirable values. The family members feel that the family's image will be adversely affected.

A few family businesses which have introduced professional management have not been able to cope with the transition problem. Family members continue to keep certain key positions with them. The family members make all critical decisions. Professionals are hired in the capacity of technical advisers only. They are not given full charge of the management of the firm. As a result, professionals remain largely ineffective in the organization. Even cases, where professional management has taken over, family members continue to interfere in the working of managers by virtue of ownership right. The performance of professionals is greatly hampered because of non-

14.10 COPING STRATEGIES

To realize the natural resources of family business like commitment, loyalty, initiative, entrepreneurship, financial resources, family image, etc. more effectively it is essential that family business develop certain key advantages and overcome certain inherent weaknesses. Based on some of the successful family businesses, the following coping strategies are suggested:

Linking Family and Business Goals

Successful family businesses are the ones which have been able to establish the close link between family and business by clarifying that the goal of the family can be achieved only if the enterprise achieves its long-term goals. This further asserts that participation of the family members would be allowed as long as it contributes to the enterprise's long-term strengths. Such a stand should be made clear at the time of enterprise initiation or when the involvement of family begins. Strategically, eliminating some amount of family participation strengthens the leadership of the family members who are in the business which ultimately results in better performance.

Recruitment of Relatives

The best managed family businesses have adopted the policies of not recruiting relative employees at all. The needy relatives are helped by the founders to find jobs elsewhere. This may be considered a too rigid policy as there may be a professionally competent person in his family or relation who would not be selected purely on the ground that he happened to be a relative of the founder. Instead of having such a rigid policy, one may have a recruitment policy stating that relatives may be considered for employment provided they stand up to the company's standards. This policy would also ensure better cooperation of family and relatives. At the same time, business norms are not sacrificed in the interests of the family.

Task Structuring

It will be unrealistic to imagine a family business however successful it is, to remain away from certain inherent issues pertaining to the family. It is also possible that despite all possible efforts to avoid, a number of family issues in business, may continue to remain unresolved. In such a case, to save the business from possible consequences, the primary task structure of the organization may be designed in a manner to minimize the negative effects on its performance. A number of strategies for task structuring are suggested here:

- i) The founder must try to identify those **critical operational activities** which need to be adequately supported to ensure at least the survival of the firm. S/He may structure them in such a manner that all important operations continue to take place without any disturbance despite pertaining conflict amongst the family owners/relatives. S/He may sanction powers to the competent people who need not have to go to any

of the family members for frequent approvals as long as they are carried out as per the guidelines.

- ii) The firm must create **reserves to meet any contingencies** occurring owing to non-cooperation or indignation of family members. There could be extra staff to compensate the possible loss of work because of incompetency of family members to carry out a given task.
- iii) The founder should take extra care to **keep morale and motivation of the employees** so high that they continue to remain committed and loyal to the firm. They are likely to be the only individuals who can be entrusted with high level of responsibility in times of conflict for ensuring smooth functioning of the organization.
- iv) Very often, founders refuse to accept certain lapses in the organization which are results of family issues. This leads to a state of confusion in the organization resulting in family members blaming each other for poor performance. The founder should accept certain given problems, as weaknesses because of family based management system. This would help avoid unnecessary anxiety and politics in the organization.

14.11 CONTEMPORARY ROLE MODELS IN INDIAN FAMILY BUSINESS

There are many family businesses in India that are doing extremely well, not only in India but also across borders. These businesses are contributing hugely in socio-economic development of our country. Few of the family businesses are cited below:

Tata Group

The Tata Group was founded by Jamsetji Nusserwanji in the year 1868. Jamsetji Nusserwanji Tata, an entrepreneur and philanthropist belonged to a Parsi Zoroastrian priest's family. Gujarat born and Mumbai educated J.N. Tata joined his father's trading firm in the year 1858 when he was 19 years of age. Ten years later, in the year 1868, he started trading company TATA Sons. Tata Sons Limited is the holding company of Tata Group. Tata Group has many businesses running together. In the year 1903, he inaugurated the Taj Mahal hotel at Colaba in Mumbai. At that time, it was the only hotel to have electricity. He had two sons Dorabji and Ratanji Tata. In the year 1907, Dorabji Tata established Tata Steel which was founded by his father Jamsetji Tata. In 1909, Indian Institute of Science was established in Bangalore.

Ratanji Tata, popularly known as RJD Tata is also taking the legacy forward. There is no such area where Tata business is not running. With the passage of time, Tata Group established many companies in various sectors such as Tata Power, Tata Chemicals, Tata Finance, Tata Insurance, Tata Croma, Tata Motors, Titan, Tata Global Beverages, Tata Teleservices, Tanishq, Fastrack, Tata Salt, Tata Starbucks, Voltas, Tata Play, Tata Steel etc. It has its enterprises in defense, electric utility, finance, healthcare, IT services, real estate.

In the arena of online business also tata is not behind. Other than investing in companies doing e-commerce such as Snapdeal, Ola, Paytm, the Group is also catering to the customers online named as tatacliq.com owned by Tata Unistore Limited.

Other than their businesses, Tatas are also respected for the contribution in the social development of the society. They set the ground for Corporate Social Responsibility in India. In this regard also, Tata clan is taking the legacy of Jamsetji Tata forward.

Aditya Birla Group

Seth Shiv Narayan Birla was the founder of one of the most successful and affluent family business groups in India. He founded this group in the year 1857. Initially he traded cotton in Ahmedabad and then moved to China with his son Baldeo Das Birla. They started chartering ships for which they moved to Mumbai. Baldeo Das Birla started 2 firms, one in Bombay and another in Calcutta. These firms did businesses in grain, silver, cotton and other commodities. He had 4 sons, Jugal Kishore, Rameshwar Das, Ghanshyam Das, and Brij Mohan. The first 3 had actively contributed to the growth of business related to their father but Ghanshyam Das was the most successful one. Ghanshyam Das expanded & diversified the business and started Birla Jute, Hindustan Motors, BITS Pilani, Technological Institute of Textile & Sciences. He bought Hindustan Times and also invested in steel tubes, rayons, chemical, and cement. He is regarded as the founding father of Aditya Birla Group. Ghanshyam Das had 3 children, Lakshmi Niwas, Krishna Kumar and, Basant Kumar Birla. Both his sons worked for the growth of Birla Group. Ghanshyam Das Birla left most of his business to his grandson Aditya Vikram Birla which is why it is now known as Aditya Birla Group. Aditya Vikram Birla was the man who established first India based multinational, putting India on world map. Under his guidance, the company grew bigger and better with passing years. His son Kumar Mangalam Birla is the current chairman of the company. It has its ventures in agribusiness, financial services, banking, mining, retail, telecommunication, wind power and e-commerce among many.

Godrej

Godrej Family owns and runs the Godrej Group. It is an Indian conglomerate company with its headquarter in Mumbai. This group was founded in the year 1897 by the brothers Ardeshir Godrej and Pirojsha Godrej. It started with lock making business. Ardeshir Godrej was a law graduate and law as profession did not fascinate him much. He started to think of doing something on his own. He started manufacturing surgical instruments, but it did not do well. Then, he ventured into lock making business which is a big hit till date. Now this group operates in diverse sectors such as real estate, consumer products, industrial engineering, appliances, furniture, security and agricultural products. It includes Godrej Industries and its subsidiaries Godrej Consumer Products, Godrej Agrovvet, and Godrej Properties, as well as the private holding company Godrej & Boyce Mfg. Co. Ltd.

Reliance

Reliance Industries Limited (RIL) is a renowned family business headquartered in Mumbai, India. In the year 1966, the RIL was founded by Shri Dhirubhai H. Ambani. It was started as a small textile manufacturer unit. In May 8, 1973 RIL was incorporated and the company name was conformed as RIL in the year 1985. After Dhirubhai's death in 2002, his sons, Mukesh Ambani (Mukesh) and Anil Ambani (Anil), took over the business. However, as their father had died without leaving a will, they began to have disagreements over ownership issues and business governance. In order to settle the conflict, Kokilaben Ambani divided Reliance's firm between her two sons in 2005. Despite this, the feud between the two brothers continued. After a series of feuds, the two brothers made up in 2010. As a result, they did business with each other's companies and had a very friendly connection, which was also visible in public. Finally, in 2014, the third generation of the Ambani family joined Reliance to establish their presence in the family-owned enterprise. Mukesh's son and daughter, Akash and Isha Amabni, were the first members of the Dhirubhai family's third generation to be appointed as directors of Reliance Jio Info Comm (Jio) and Reliance Retail Ventures, respectively. Anil's son, Jai Anmol, joined Reliance Capital the same year.

Over the years, the company has transformed their business and has entered into many sectors. Reliance has entities across sectors like vitality, petrochemicals, materials, common assets, retail, and broadcast communications. Reliance is one of the most prominent businesses in India. In 2004 Reliance Industries (RIL) became the first Indian private sector organization to be listed in the Fortune Global 500 list.

14.12 SUMMARY

Today, family business represents the largest segment in Indian industry and makes significant contribution to the economic development of the country. Classical management principles and theories have ignored the influence of family in business management and hence, management practices in family business are different. Management styles are based more on personalized modes than professional modes. It is therefore, one may suspect that family-based management is more vulnerable in the face of uncertainty and complexity of environment. They have not only been able to sustain themselves in the business world but have also grown in large number. However, family business does suffer from certain weaknesses like nepotism, favoritism, rigidity, conservatism, etc. These weaknesses can be overcome by adopting certain policies and strategies. Strategically, the founders may eliminate some amount of family participation to strengthen the leadership of those family members who are in the business. They should adopt policies to avoid recruitment of family members on the basis of relations but on the basis of competence, the personnel policies of family business should be equally applicable to both relative and non-relative employees. The task structuring should be done to minimize negative effect of family conflict and allow at least routine functions to take place smoothly in the face of any major conflict or calamity.

14.13 KEYWORDS

- Family business** : Family business is any business owned, controlled and managed by a family or group of family.
- Family control** : Family control is the form of control exercised by the direct participation of family members in ownership and management of firm.
- Nepotism** : The blood relationship determines the entry into the business and holding of key positions.
- Delegation** : Delegation is the assignment of responsibility or authority to another person to carry out specific activities.
- Task structuring** : Task structuring to design the work structure of a business in a simplified way so that it is easy for others to follow

14.4 SELF-ASSESSMENT QUESTIONS

- 1) Define family business and differentiate it from other forms of business enterprise.
- 2) Discuss the positive and negative sides of family business.
- 3) What are the commonly employed management practices in family business?
- 4) What are the common problems which family businesses have to confront?
- 5) Discuss the coping strategies followed by family businesses.

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